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(This is a Disclosure Document prepared in conformity with Securities and Exchange Board of India (Issue and Listing of Debt Securities) Regulations, 2008 issued vide circular No. LAD-NRO/GN/2008/13/127878 dated June 08, 2008)

BANK OF BARODA

(A Government of India Undertaking)

Constituted under the Banking Companies (Acquisition and Transfer of Undertakings) Act, 1970

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DISCLOSURE DOCUMENT FOR PRIVATE PLACEMENT OF UNSECURED REDEEMABLE NON-CONVERTIBLE SUBORDINATED UPPER TIER-II BONDS (DEBT CAPITAL INSTRUMENTS) (SERIES-XII) IN THE NATURE OF PROMISSORY NOTES OF RS. 10 LAKH EACH FOR CASH AT PAR AGGREGATING RS. 500 CRORES

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TRUSTEE FOR THE BONDHOLDERS



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LEAD ARRANGER TO THE ISSUE

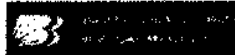
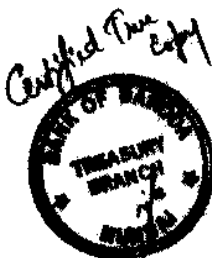


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I. DEFINITIONS/ ABBREVIATIONS

ALM	Asset Liability Management
ATM	Automated Teller Machine
Board/ Board of Directors	The Board of Directors of Bank of Baroda or Committee thereof
Bonds	Unsecured Redeemable Non-Convertible Subordinated Upper Tier-II Bonds (Debt Capital Instruments) (Series-XII) in the nature of Promissory Notes of Rs. 10,00,000/- each offered through private placement route under the terms of this Disclosure Document
Book Closure/ Record Date	The date of closure of register of Bonds for payment of interest and repayment of principal (on maturity)
Brickwork	Brickwork Ratings India Pvt. Ltd.
BSE	Bombay Stock Exchange Ltd.
CAR	Capital Adequacy Ratio
CRAR	Capital to Risk Assets Ratio
CARE	Credit Analysis & Research Ltd.
CRISIL	CRISIL Ltd.
CAGR	Compounded Annual Growth Rate
CDSL	Central Depository Services (India) Ltd.
CDR	Corporate Debt Restructuring
CRR	Cash Reserve Ratio
Debt Securities	Non-Convertible debt securities which create or acknowledge indebtedness and include debenture, bonds and such other securities of the issuer, whether constituting a charge on the assets of the issuer or not, but excluding security receipts and securitized debt instruments
Depository	A Depository registered with SEBI under the SEBI (Depositories and Participant) Regulations, 1998, as amended from time to time
Depositories Act	The Depositories Act, 1996, as amended from time to time
Depository Participant	A Depository participant as defined under Depositories Act
DIGGC	Deposit Insurance and Credit Guarantee Corporation of India
Director(s)	Director(s) of Bank of Baroda unless otherwise mentioned
DP	Depository Participant
EPS	Earning Per Share
FDI	Foreign Direct Investment
FEDAI	Foreign Exchange Dealers Association of India
FI	Financial Institutions
FIIs	Foreign Institutional Investors
Financial Year/ FY	Period of twelve months period ending March 31, of that particular year
GoI	Government of India/ Central Government
HUF	Hindu Undivided Family
Trustee	IDBI Trusteeship Services Ltd.
Disclosure Document	Disclosure Document dated July 03, 2008 for Private Placement of Unsecured Redeemable Non-Convertible Subordinated Upper Tier-II Bonds (Debt Capital Instruments) (Series-XII) in the nature of Promissory Notes of Rs. 10,00,000/- each for cash at par aggregating Rs. 500 crores to be issued by Bank of Baroda
I.T. Act	The Income Tax Act, 1961, as amended from time to time
ICRA	ICRA Ltd.
MoF	Ministry of Finance
NPA's	Non Performing Assets
NRI's	Non Resident Indians
NSE	National Stock Exchange of India Ltd.
NSDL	National Securities Depository Ltd.
OCBs	Overseas Corporate Bodies
PAN	Permanent Account Number
PLR	Prime Lending Rate
Rs.	Indian National Rupee
RBI	Reserve Bank of India
RTGS	Real Time Gross Settlement
Registrar	Registrar to the Issue, in this case being Kervy Computershare (P) Ltd.
SARFAESI Act	Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002
SEBI	The Securities and Exchange Board of India, constituted under the SEBI Act, 1992
SEBI Act	Securities and Exchange Board of India Act, 1992, as amended from time to time
SEBI Regulations	Securities and Exchange Board of India (Issue and Listing of Debt Securities) Regulations, 2008 issued vide Circular No. LAD-NRO/GN/2008/13/127578 dated June 06, 2008
SLR	Statutory Liquidity Ratio
TDS	Tax Deducted at Source
The Bank/ the Issuer	Bank of Baroda, constituted under the Banking Companies (Acquisition and Transfer of Undertakings) Act, 1970
The Companies Act	The Companies Act, 1956 as amended from time to time
The Act	The Banking Companies (Acquisition and Transfer of Undertakings) Act, 1970
The Issue/ The Offer/ Private Placement	Private Placement of Unsecured Redeemable Non-Convertible Subordinated Upper Tier-II Bonds (Debt Capital Instruments) (Series-XII) in the nature of Promissory Notes of Rs. 10,00,000/- each for cash at par aggregating Rs. 500 crores to be issued by Bank of Baroda



II. DISCLAIMER

GENERAL DISCLAIMER

This Disclosure Document is neither a Prospectus nor a Statement in Lieu of Prospectus and is prepared in accordance with Securities and Exchange Board of India (Issue and Listing of Debt Securities) Regulations, 2008 issued vide Circular No. LAD-NRO/GN/2008/13/127878 dated June 06, 2008. This document does not constitute an offer to the public generally to subscribe for or otherwise acquire the Bonds to be issued by Bank of Baroda (the "Issuer"/ the "Bank"/ the "Issuer Bank"). The document is for the exclusive use of the Institutions to whom it is delivered and it should not be circulated or distributed to third party(ies). The Bank certifies that the disclosures made in this document are generally adequate and are in conformity with the captioned SEBI Regulations. This requirement is to facilitate investors to take an informed decision for making investment in the proposed issue.

DISCLAIMER OF THE SECURITIES & EXCHANGE BOARD OF INDIA

This Disclosure Document has not been filed with Securities & Exchange Board of India (SEBI). The Securities have not been recommended or approved by SEBI nor does SEBI guarantee the accuracy or adequacy of this document. It is to be distinctly understood that this document should not, in any way, be deemed or construed that the same has been cleared or vetted by SEBI. SEBI does not take any responsibility either for the financial soundness of any scheme or the project for which the issue is proposed to be made, or for the correctness of the statements made or opinions expressed in this document. The issue of Bonds being made on private placement basis, filing of this document is not required with SEBI, however SEBI reserves the right to take up at any point of time, with the Bank, any irregularities or lapses in this document.

DISCLAIMER OF THE LEAD ARRANGERS AND OTHER ARRANGERS (the "ARRANGERS")

It is advised that the Bank has exercised self due-diligence to ensure complete compliance of prescribed disclosure norms in this Disclosure Document. The role of the Arrangers in the assignment is confined to marketing and placement of the bonds on the basis of this Disclosure Document as prepared by the Bank. The Arrangers have neither scrutinized/ vetted nor have they done any due-diligence for verification of the contents of this Disclosure Document. The Arrangers shall use this document for the purpose of soliciting subscription from qualified institutional investors in the bonds to be issued by the Company on private placement basis. It is to be distinctly understood that the aforesaid use of this document by the Arrangers should not in any way be deemed or construed that the document has been prepared, cleared, approved or vetted by the Arrangers; nor do they in any manner warrant, certify or endorse the correctness or completeness of any of the contents of this document; nor do they take responsibility for the financial or other soundness of this Issuer, its promoters, its management or any scheme or project of the Bank. The Arrangers or any of its directors, employees, affiliates or representatives do not accept any responsibility and/or liability for any loss or damage arising of whatever nature and extent in connection with the use of any of the information contained in this document.

DISCLAIMER OF THE ISSUER

The Issuer confirms that the information contained in this Disclosure Document is true and correct in all material respects and is not misleading in any material respect. All information considered adequate and relevant about the issue and the Bank has been made available in this Disclosure Document for the use and perusal of the potential investors and no selective or additional information would be available for a section of investors in any manner whatsoever. The Bank accepts no responsibility for statements made otherwise than in this Disclosure Document or any other material issued by or at the instance of the Issuer Bank and anyone placing reliance on any other source of information would be doing so at his/her/their own risk.

DISCLAIMER OF THE STOCK EXCHANGES

As required, a copy of this Disclosure Document has been submitted to the National Stock Exchange of India Ltd. (hereinafter referred to as "NSE") and Bombay Stock Exchange Ltd. (hereinafter referred to as "BSE") for hosting the same on their websites. It is to be distinctly understood that such submission of the document with NSE and BSE or hosting the same on their websites should not in any way be deemed or construed that the document has been cleared or approved by NSE or BSE; nor do they in any manner warrant, certify or endorse the correctness or completeness of any of the contents of this document; nor do they warrant that this Issuer's securities will be listed or continue to be listed on the Exchanges; nor do they take responsibility for the financial or other soundness of this Issuer, its promoters, its management or any scheme or project of the Company. Every person who desires to apply for or otherwise acquire any securities of this Issuer may do so pursuant to independent inquiry, investigation and analysis and shall not have any claim against the Exchanges whatsoever by reason of any loss which may be suffered by such person consequent to or in connection with such subscription/ acquisition whether by reason of anything stated or omitted to be stated herein or any other reason whatsoever.



III. NAME AND ADDRESS OF HEAD OFFICE OF THE ISSUER

Name of the Issuer	:	Bank of Baroda
Head Office	:	Baroda House, Mandvi, Vadodara 390 006, Gujarat, India
Telephone Numbers	:	(0265) 2518715, 2363001, 2362225
Fax Number	:	(0265) 2362914
Corporate Office	:	Baroda Corporate Centre, C-26, G Block, Bandra-Kurla Complex, Bandra (E), Mumbai 400 051
Telephone Numbers	:	(022) 66985000-04
Fax Number	:	(022) 26526660
E-mail	:	companysecretary.boc@bankofbaroda.com
Website	:	www.bankofbaroda.com

IV. NAMES AND ADDRESSES OF THE DIRECTORS OF THE ISSUER

The composition of the Board of Directors of the Bank as date of this Disclosure Document is as under:

Sr. No.	Name & Designation	Date of Appointment & Term	Address
1	Shri M. D. Maliya Chairman & Managing Director	From 07th May, 2008 till 30.11.2012 or until further orders, whichever is earlier	11-A Woodlands Apartments Dr. G Deshmukh Marg Peddar Road Mumbai - 400026
2	Shri V. Santhanaraman Executive Director	From 10th October, 2006 till 31.8.2009 or until further orders, whichever is earlier	7A, Suvas CHS Ltd. Opp. Rungta Bhavan Rungta Lane, 68-F, Nepean Sea Road Mumbai - 400 006
3	Shri R. K. Bakshi Executive Director	From 6.11.2008 till 31.10.2012 or until further orders, whichever is earlier	17-B Shahnaz 90 Neapean Sea Road Mumbai - 400 006
4	Shri Amitabh Verma Director (representing GoI) (Joint Secretary (BOA) in the Ministry of Finance (Department of Financial Services))	From 10th June, 2008 until further orders	C-1, M.S. Flats, Sector - 13 R. K. Puram New Delhi 110 066
5	Shri A. Somasundaram Director (representing RBI)	From 27th February 2007 until further orders	5, (Old No.3), 4th Street Padmanabha Nagar Adyar, Chennai - 600 020
6	Shri Milind N. Nadkarni Director (representing Workmen)	From 1st May, 2007 for a period of 3 years or till he ceases to be a workmen employee of the Bank, whichever is earlier	1/1 Krishna Building, G S Lane Parel, Bhowada, Mumbai - 400 012
7	Shri Ranjit Kumar Chatterjee Director (representing Non-Workmen Employees)	From 20th December, 2007 for a period of 3 years or till he ceases to be an officer of the Bank, whichever is earlier	Swastika Apartment 3rd Floor Ushagram, Asansol Dist. Burdwan Pin - 713301 (West Bengal)



8	Shri Amarjit Chopra Director (Nominated by Government of India)	From 13th October, 2006 for a period of 3 years or until further orders, whichever is earlier	11 Empire Estate Sultanpur M.G.Road New Delhi- 110030
9	Dr. Atul Agarwal Director (Nominated by Government of India)	From 23rd November, 2007 for a period of 3 years or until further orders, whichever is earlier	401-402 Mansarovar Apartments 7/90-D, Triak Nagar Kanpur - 208004
10	Dr. Dharmendra Bhandari Director (representing Shareholders elected from amongst Shareholders other than Central Government)	24th December, 2008 for a period of 3 years	91, Prabhat Colony Santacruz (East) Mumbai - 400 055
11	Dr. Deepak B. Phatak Director (representing shareholders elected from amongst shareholders other than Central Government)	24th December, 2008 for a period of 3 years	A-15, IIT, Indian Institute of Technology Powai, Mumbai - 400 076
12	Shri Maulin Vaishnav Director (representing shareholders elected from amongst shareholders other than Central Government)	24th December, 2008 for a period of 3 years	8-Anand Nagar Society Near New India Mill Jetalpur Road Vadodara - 390 007



V. BRIEF SUMMARY OF BUSINESS/ ACTIVITIES OF ISSUER AND ITS LINE OF BUSINESS

We are one of India's leading commercial banks. We were established in 1908 in Baroda as a private bank and following nationalization became a wholly-owned Government bank in 1969. Our head office is in Baroda and our corporate office is in Mumbai. We had our initial public offering in 1996 at which time the shareholding of the Government of India was diluted to 66.83%. After another issue in January 2006, the Government of India's shareholding has been reduced to 53.81%. We have a diverse shareholder base, and we believe Government support to the Bank is regarded favourably by the general public. We have been profitable continuously and have a consistent record of paying dividends to our shareholders. We maintain the highest credit rating for both our short-term and long-term borrowings from the following rating agencies: CRISIL; ICRA; CARE and FITCH. Moody's have given us a financial strength rating of 'D(FSR)' and a rating of 'Ba2' for long term deposits, which reflects a stable outlook. In addition, we were the first public sector bank to obtain a corporate governance rating, and were assigned a rating of "CGR-2" from ICRA, demonstrating the high quality of our corporate governance.

Our business involves six main business areas: corporate financial services; international operations; retail financial services; business financial services; global treasury; and rural financial services. We provide a wide range of corporate financial services. We provide commercial banking products and services to corporate customers including mid-sized and small businesses and government entities. Our products include various deposits, term loans and advances for the acquisition, construction or improvement of assets. We also offer fee based services such as cash management and remittance services.

We are one of the largest retail banks in India in terms of number of customers, and our strategy is to emphasize retail banking. We have a wide network of branches across India, and we are well positioned to offer retail customers convenient and accessible banking services. Our branch network is strong in the industrially developed states of Gujarat and Maharashtra as well as in the state of Uttar Pradesh and Rajasthan which has a strong agricultural base and developing industrial base. Our deposit products, retail loans, depositary services and debit cards cater to the financial needs of all our customers.

We provide business financial services to small and medium sized enterprises as well as to commercial enterprises. Our services include deposits, loans and advances, working capital finance, short-term corporate loans, project finance and cash management. This wide range of services allows us to also develop personalised banking solutions for individual business customers.

Our domestic treasury operations are integrated through our Specialized Integrated Treasury Branch (SITB). The markets integrated by our treasury operations are domestic money, investments, foreign exchange and derivatives. SITB enables us to leverage arbitrage opportunities and ensure better risk management and compliance. In addition to our domestic operations, we have treasury operations in several global financial centers including London, New York, Brussels, Mauritius, Nassau and Dubai, which we are in the process of integrating as part of our Core Banking Solution.

We have also maintained our focus on addressing the needs of priority sector customers and offer specialized products and services to these sectors. Our rural financial services include the provision of special offerings that extend credit facilities to small and marginal farmers, agricultural labourers and cottage industry entrepreneurs.

We deliver our products and services through our extensive branch network, extension counters, ATMs, phone banking and the Internet.

Business Performance

Resource Mobilisation & Asset Expansion

The share of Bank's deposits in total resources stood at 84.60% as of 31st March 2009. The total deposits grew from Rs 1,52,034.13 crore to Rs 1,92,396.95 crore, reflecting a growth of 26.55% over the previous year. Of this, Savings Bank Deposits – an important constituent of low cost deposits grew by 18.76% – from Rs 35,776.38 crore to Rs 42,487.28 crore. The share of low cost deposits (Current & Savings) in Total Global Deposits was at 29.59% and in Domestic Deposits at 34.87%. The banking industry as a whole witnessed a movement from low cost deposits to term deposits during the year, in view of sharp increase in the interest rates offered on term deposits during 2008-09.

The Bank's Global Advances expanded by 34.94% during 2008-09 led by 29.32% expansion in domestic advances and 56.3% expansion in overseas advances. It may be noted that expansion in overseas advances also factors in the impact of currency depreciation (of the order of 26.9% against the US dollar) during 2008-09.



Composition of Funds – Global

Particulars	End March 2008 (Rs crore)	End March 2009 (Rs crore)	Growth %
Deposits	1,52,034.13	1,92,396.95	26.55
- Domestic	1,22,479.38	1,51,408.99	23.62
- Overseas	29,554.77	40,987.96	38.68
Borrowings	3,927.08	5,636.08	43.52
Advances	1,06,701.32	1,43,985.90	34.94
- Domestic	84,503.30	1,09,283.00	29.32
- Overseas	22,198.02	34,702.90	56.33

Wholesale Banking

Within India, the Wholesale Banking Business has emerged as one of the most competitive business segments due to aggressive role being played by large private and foreign banks during the recent years. Considering the fact that half of our Bank's lending business is generated from wholesale banking, the Bank has proactively adopted strategies from time to time to penetrate into this segment with a different kind of business model, service standards, faster response and better accessibility.

Within the Bank, the wholesale banking branches for large and mid corporates were set up separately to cater to the needs of the corporate world and are yielding desired results. With a view to improve and widen the clientele base, 'Fast Track' desk was set up to attend to fresh proposals exclusively to expedite the sanction process and it is operating with good success rate. During the year 2008-09, fresh proposals with advances aggregating Rs 16,000 crore were sanctioned and we can proudly say that around 25-30 new customers/groups were added into the Bank's fold.

Furthermore, with a view to ensure better administration, monitoring and control and also for facilitating active involvement of Zonal Heads to canvass new business, the Bank's CFS (Corporate Financial Service) Branches are advised to report to their respective Zonal Heads. Initiatives are also taken by the Bank's executives at Corporate Office by visiting the CFS Branches/Zones periodically to support the team at the field to canvass new business and to facilitate faster credit decisions.

Considering the importance of higher skill requirement in the fast changing environment, effective steps are being taken to groom a talent pool in the area of credit through extensive in-house training and by nominating them to external training establishments.

Retail Business

The Retail Business continued to be the thrust area for achieving business growth during the year 2008-09. For achieving sustained growth on both liabilities and asset side, the Bank initiated various customer centric measures besides launching special products.

The Bank's overall Retail Credit stood at Rs 19,627.55 crore as at the end of March 2009, registering the growth of Rs 2,736.23 crore over the previous year. The prime objective of the Bank during the period was to maintain or improve the quality of assets and to build a healthy retail loan portfolio. Therefore, the emphasis was laid on Baroda Car Loan and Mortgage Based Products viz. Baroda Home Loan, Baroda Traders Loan and Baroda Advance Against Property. In our quest to bring youth into the Bank's fold, the thrust was also placed on Baroda Education Loan during the year.

The Bank's Home Loans increased by Rs 983.67 crore during the year, registering the growth of 13.51% over March, 2008. The Advance Against Mortgages, Education Loans and Car Loans achieved a spectacular growth of 31.47%, 32.67% and 51.24% respectively during the year ended March 2009.

It has always been the endeavour of our Bank to review the norms and features of all existing products on an ongoing basis and modify, wherever required, to suit the changing needs of the customers. The new products have also been launched during the year to cater to the needs of different segments of society as well as our clientele.



New Retail Products

The Bank launched the following new loan products during the year 2008-09.

1. Loan for Earnest Money Deposit: An asset product for booking of house /flat or plot
2. Baroda Additional Assured Advance to NRIs: This facility was already available to Resident Indians, which has now been extended to non-resident Indians (NRIs) also.
3. Baroda Bachat Mitra: An overdraft facility in Savings Bank accounts against the security of the pledge of FDRs.
4. Baroda Car Loan to HNIs/Corporates: A Car Loan product with maximum limit of Rs 100 lakh for High Networth Individuals (HNIs)/Corporates for use of vehicle exclusively by the Directors /Executives of the company.
5. Baroda Advance Against Gold Ornaments/Jewellery/Gold Coins (launched on pilot basis) for meeting business/ personal expenses of the individuals.
6. Special Home Loans package has been introduced with certain concessions and free life insurance cover to the borrowers.

Product Modification

1. Margin norms in Home Loans have been modified with a view to control the delinquencies in Home loans and other mortgaged based loans and zones/regions were advised to discourage deviation from the set guidelines.
2. The eligibility for availing Additional Assured Advance (AAA) has been increased from three times to five times during the entire tenure of a Housing Loan.
3. Realignment of Retail Loan products by reducing it to nine major products from the hitherto 26 products.

Campaigns Organized

1. A "Retail Loan Festival Campaign" was launched from 1 October 2008 to 9 November 2008 and the concessions of 0.25% in interest rate and 100% waiver of Documentation and Processing charges were allowed on Housing Loans and Car Loans. The fresh business of Rs 347.67 crore was mobilized (including the business of Rs 126.63 crore under the Car Loans) during the campaign period.
2. Under the Savings Bank segment, two Savings Deposit Campaigns were organized. The first campaign was organized from 9 June 2008 to 2 August, 2008 during which the total savings deposits of Rs 2,212 crore were mobilized against the target of Rs 1,500 crore. Similarly, during the second campaign organized from 2 February 2009 to 31 March 2009, the total deposit of Rs 2,195 crore was mobilized against the set target of Rs 2,000 Crore.

Structural Changes

1. In order to strengthen the Retail Credit Delivery System, the Bank opened eight new Urban Retail Loan Factories (URLFs) at Powai Mumbai, Agra, Bareilly, Bhopal, Nagpur, Emakulam, Jodhpur, and Noida during the year 2008-09 thus raising the total URLFs to 23.
2. Gen-Next Branches: The concept of Gen-Next branches for focusing the youth segment was launched during 2007-08 and two Gen-next branches were opened during 2007-08. Three more Gen-next branches have been opened during the year 2008-09, taking the total to five Gen-Next branches. These Branches are equipped with modern gadgets, ambience and all other facilities, which a youth requires in today's modern era.

Other Initiatives

1. With a view to control the delinquencies in Home Loans and other Mortgage-based Loans, measures have been taken with regard to the eligibility and margin norms and the Zones/ Regions have been advised to discourage deviations from extant guidelines.
2. For boosting up Auto Loan portfolio, the memorandums of understanding (MoUs) have been signed with number of car manufacturing companies viz. Maruti Suzuki India Ltd, Tata Motors Ltd, Hyundai Motors India Ltd and Mahindra & Mahindra Ltd. during the year 2008-09.
3. The "Tie-up" arrangements have been made with M/s Kotak Mahindra Old Mutual Life Insurance Ltd for providing Life Insurance Cover to Education Loan borrowers and Home Loan borrowers sanctioned under a special package.



4. The sale of Gold Coins was launched as a new initiative during the year 2007-08 to augment non-fund based income. During the year 2008-09, total income of Rs 4.55 Crore has been generated by Sale of Gold Coins through 354 Point of sales (POS).
5. The online Home Loan application facility has been made available with tracking of status of the application from 20 July, 2008.

Wealth Management Services

The Bank as a part of customer centric measures initiated Wealth Management Services to provide its High Net Worth (HNI) and affluent customers a total financial solution at one place since June 2004. Under Wealth Management Services, the Bank presently provides through the network of its branches various three party products in Life Insurance, Non Life Insurance including Health Insurance, Mutual Funds & Equity Trading under tie-up arrangements through different partners. The tie-up partners in these products are HDFC Standard Life Insurance Co. Ltd. in Life Insurance, National Insurance Company Ltd. in General Insurance, India Infoline Ltd. in e-trading and six leading Asset Management Companies including our joint venture Baroda Pioneer Asset Management Co. Ltd. in Mutual Fund products.

The Bank has also established 'Baroda Gold Lounge' in 13 select strategically located branches which are distinct dedicated spaces to provide par excellence investment advisory services to HNI customers of the Bank. The initiatives of the Bank under the Wealth Management Services have been encouragingly contributing to non-interest income of the Bank.

SME Business

In India, the SME (small & medium enterprises) sector is the biggest provider of employment next to Agriculture. The official statistics shows that SMEs constitute 95.0% of total industrial units and contribute 40.0% to total industrial output. They manufacture more than 8,000 products in various sectors like pharmaceuticals, garments, textiles, auto ancillary, jewellery and software. The contribution of services sector within the SME segment is quite significant; especially IT enabled services, hospitality services, tourism, couriering, transportation, etc. SMEs are playing a vital role in the job creation process.

The Bank has always been a forerunner in the development of small-scale enterprises and has formulated liberal and comprehensive SME Loan Policy for its SME customers. Furthermore, to give a focused attention to emerging SMEs in India, the Bank has been considering other commercial units also with a turnover up to Rs 100 crore at par with the SMEs.

To promote the growth of SME Sector, the Bank has launched a special and novel delivery model, viz. SME Loan Factory, which is presently functioning in 34 centres of the Bank and is well accepted in the market. The SME Loan Factory is an innovative model for streamlining processes and for timely sanctions of SME loan proposals. The model comprises of the Central Processing Cell for speedy appraisal and sanctioning of proposals within the stipulated deadline. A team of Relationship Managers stationed at different branches of the Bank spread over micro segments of the city reaches out to customers to facilitate completion of pre-sanction formalities in a hassle free manner. The Relationship Managers would also be marketing, not only various SME products of the Bank, but also other products and services including the Third Party products like Life Insurance, Mutual Funds, Equity Trading, etc. The above model operates on an assembly-line principle with simplified processes using latest technology and in-house, skilled and trained man-power.

Out of 34 SME Loan Factories as on 31.3.2009, seven SME Loan Factories have been established during the year. The Bank has SME Loan Factories at all major business centres across the country, viz. Agra, Ahmedabad, Bangalore, Baroda, Bhiwara, Bhubhaneshwar, Buisar, Chennai, Coimbatore, Dehradun, two factories in Delhi, Hyderabad, Indore, Jaipur, Jamshedpur, Jamnagar, Jodhpur, Kanpur, Kolhapur, Kolkata, Lucknow, Ludhiana, three factories in Mumbai, Nagpur, Nashik, Noida, Pune, Rajkot, Raipur, Surat, Vishakhapatnam.

These SME Loan Factories sanctioned loans aggregating Rs 8,508 crore during the year ended March, 2009 as against Rs 5,956 crore in the previous year.

The Bank has planned to establish six more SME Loan Factories during the year 2009-10.



SME Credit Growth

Total outstanding in SME Sector works out to Rs 14,662 crore as on 31.3.2009 as per the regulatory definition. Growth in the Bank's lending to the SME sector during the last three years is as follows.

Financial Year	% Growth
2006-07	31.40%
2007-08	31.11%
2008-09	24.18%

New Initiatives in the SME Business in 2008-09

- The Bank entered into MOU with some of the vehicle manufacturers for financing their dealers/road transport operators desirous of purchasing their vehicles.
- It entered into MOU with CGTMSE for extending collateral free loans up to Rs 100 lacs under Risk Sharing Facility scheme launched by CGTMSE.
- It also entered into MOU with Ministry of MSME for financing under the scheme, viz. Trade Related Entrepreneurship Assistance and Development (TREAD) for economic empowerment of women.
- It introduced seven new customer centric area specific products to suit the local cluster needs.
- It organized awareness programmes for SME borrowers to enlighten them about various products, services and precautionary steps to be taken in view of global financial crisis.
- It took proactive steps by announcing various measures to assist the borrowers under stress due to global recession.
- It organised Management Development Programme with Institute of Business Management of repute for familiarizing the SME customers with current trends in business areas.
- The Bank took up sponsoring of SME Page in all editions of Economic Times, which is expected to give popularity to various products designed for SME Sector and boost our SME business.

Rural and Agricultural Lending

The Bank has always been a frontrunner in the area of Priority Sector and Agriculture lending, harnessing the vast potential of the rural market through its wide network of 1,100 rural branches and 649 semi-urban branches. The Bank has opened 30 new branches in rural and semi-urban areas during the year 2008-09.

The Bank is the convener of State Level Banker's Committee (SLBC) in UP and Rajasthan. The Bank has Lead Bank Responsibility in 44 districts in the states of Gujarat (12), Rajasthan (12), Uttar Pradesh (14), Uttaranchal (2), Madhya Pradesh (2) and Bihar (2).

The Bank has sponsored five Regional Rural Banks (RRBs) in various states with a branch network of 1,201 branches and total business of more than Rs 14,000 crore as of March 2009.

Performance of Priority Sector Lending In 2008-09

Priority Sector Advances of the Bank surged from Rs 31,681 crore as at the end-March 2008 to Rs 39,239.08 crore as at the end-March 2009 and formed 46.43% of the Adjusted Net Bank Credit (ANBC) against the mandated target of 40%. The Agriculture Advances of the Bank recorded a growth of 28.0% over the previous year and rose to Rs 16,964 crore as at end-March 2009.

Under its flagship agriculture loan product "Baroda Kisan Credit Card", the Bank issued as many as 1,78,442 Credit Cards during 2008-09 to provide credit to farmers. The Bank has financed as many as 2,11,948 new farmers during the year 2008-09. As a part of its microfinance initiatives, the Bank credit linked 19,120 Self Help Groups with an amount of Rs 17 crore during 2008-09, thereby taking the total number of SHGs credit linked to 90,731 amounting to Rs 606 crore.

Business and Social Initiatives



The Bank introduced various initiatives/strategies during 2008-09 to harness the emerging opportunities for rural and agricultural lending as follows.

To augment the agricultural advances, the Bank conducted special campaigns viz. Kharif campaign for Crop Loans and Investment Credit Campaign disbursing Rs 1,364.77 crore and Rs 855.58 crore respectively.

The Bank organized 2,702 Village Level Credit Camps and disbursed Rs 1,708.86 crore to 1,42,351 borrowers during 2008-09. The Bank has identified 350 Thrust Branches across India to enhance Agriculture lending which constituted 32% of total agricultural lending as at end-March 2009.

The Bank formulated various area-specific schemes tailor-made to the needs of local requirements, particularly where there is a concentration of industries like Rice Mills, Cold storages, Poultry units, etc. The suitable concessions in rate of interest, charges were allowed under these schemes to garner maximum business outsmarting competition. As many as 18 area-specific schemes were formulated to increase the agricultural lending.

Towards effective use of technology in rural agricultural lending, the Bank has introduced IT enabled smart card based technology for financial inclusion. At present, the smart card based financial inclusion is being implemented at Raibareilly and Sultanpur districts of Uttar Pradesh on pilot basis. So far 18,000 smart cards have been issued. Currently, Bank has 262 ATMs in Rural and Semi-urban areas and 225 rural branches and 525 semi-urban branches are under Core Banking Solution.

The Bank co-sponsored the "Bhimhadi Jatra", a state level exhibition for women SHG products, held at Pune in November 2008, which was inaugurated by Hon'ble Minister of Agriculture, Shri. Sharad Pawar. In all, 1,359 SHGs exhibited their products and generated sales revenue of Rs 288 lacs during the exhibition. Around 50 SHGs of our Bank from the state of Maharashtra participated in the exhibition.

The Bank has adopted Dungarpur district (Rajasthan) which is primarily a tribal district and one of the most backward districts in the country, for total integrated rural development and 100% financial inclusion towards its Corporate Social Responsibility. The project was launched on 1st October 2007. The Bank has already achieved 100% financial inclusion in Dungarpur district. So far credit of Rs 21.81 crore to 10,720 borrowers is disbursed for Dairy Development, Cultivation of High Value Crops, Vegetable cultivation, etc. Various other developmental activities like training, scholarships to girl students etc. are also being done under the project.

The Bank has adopted 101 villages (101 "Baroda Centenary Year Villages") for total integrated development spread over three years and 100% financial inclusion. The Bank has also provided social infrastructure like solar lamps, bus stand shelters, hand pumps, community halls etc. in 55 villages by giving grant of Rs 45.84 lacs. The Bank has allocated Rs 2 crore for this purpose.

Baroda Grameen Paramarsh Kendra (BGPK) - an initiative undertaken by the Bank to help the rural community by providing Credit Counseling, financial literacy and other services like information on the prices of agricultural produces, scientific farming, etc. The Bank has established 52 BGPKs as on 31.03.2009.

With four additional Baroda Swarojgar Vikas Sansthan (BSVS) centers opened during 2008-09, the total number of BSVS has gone up to 16. The BSVS in Raebareilly and Ajmer are exclusively meant for women entrepreneurs. The BSVS are the institutes for training the youth and imparting knowledge and skills required for taking up self-employment ventures. During 2008-09, 8,274 youth beneficiaries have been trained out of which 4,762 have established self-employment ventures. Out of the total 21,039 beneficiaries trained by these centers so far, 11,569 have established their self-employment ventures.

The Bank has initiated various measures to achieve Financial Inclusion. The Bank had adopted 500 villages for 100% Financial Inclusion, and this has already been achieved in all 500 villages. The Bank has also achieved 100% financial inclusion in 12 of its lead districts i.e. Dungarpur (Rajasthan), Pratapgarh, Raibareilly, Fatepur, Rampur, Sultanpur (U.P.) Nainital, Udamsinghnagar Districts (Uttarakhand,) Dang, Dohad Panchmahal districts (Gujarat) and Shivher (Bihar). Besides, the Bank has achieved 100% financial inclusion in 10,000 villages in various districts identified by State Level Bankers Committee (SLBC).

The Business Facilitators Model too has been implemented across the country to accelerate financial inclusion of the excluded segment as well as to augment agricultural portfolio. Business Facilitators will mainly canvass loan applications for the Bank for which the Bank will pay them compensation. Individuals including retired Bank and Government staff, NGOs, Farmers clubs and SHGs are engaged as agents to improve our outreach in the rural and semi-urban areas. The Bank has so far engaged 49 business facilitators.



The Bank also signed MoUs with CmF (Centre for Microfinance) to focus on skill up gradation for Micro Finance activities for rural and agricultural business and formation of quality Farmers Clubs, Self Help Groups and providing special training to them through the CmF.

Performance of RRBs sponsored by the Bank

The Bank has Sponsored five RRBs (Regional Rural Banks) as under.

- Baroda Uttar Pradesh Gramin Bank, Head Office: Raebareli.
- Baroda Rajasthan Gramin Bank, Head Office: Ajmer.
- Baroda Gujarat Gramin Bank, Head Office: Bharuch.
- Nainital-Almora Kshetriya Gramin Bank, Head Office: Maldwani.
- Jhabua-Dhar Kshetriya Gramin Bank, Head Office: Jhabua.

The aggregate business of these five RRBs rose to Rs 14,278.28 crore as of end-March, 2009 from Rs 11,999.70 crore as at end-March, 2008, registering a growth of 18.99% (y-o-y).

These five RRBs together posted a net profit of Rs 103.32 crore during 2008-09 as against Rs 49.99 crore earned during 2007-08. The "Net Worth" and the "Reserves and Surplus" of all these RRBs together improved from Rs 325.22 crore at end-March, 2008 to Rs 490.19 crore as at end-March, 2009 and from Rs 208.69 crore as at end-March, 2008 to Rs 272.35 crore as at end-March, 2009 respectively.

International Business

The year 2008-09 was a difficult period for overseas business growth with worsening global environment on account of the economic meltdown and the resultant liquidity crunch. While registering growth, the challenge was to maintain liquidity, improve quality of assets, maintain healthy growth in profits and control the delinquencies. However, even during this turbulent period, the Bank could maintain the growth momentum and register impressive growth in all the operational parameters. This was possible on account of the vast experience of working in different economies around the World, good asset-liability management and the Bank's sound business practices.

Also, the international operations were not impacted much by the liquidity crisis given the Bank's limited dependence on short-term resources. All the centres of the Bank are well capitalized and have broad based depositor base for raising resources. The customer base of the Bank comprises not only of Indian Corporates, Non Resident Indians and Persons of Indian Origin but also the local ethnic population of countries where it is operating.

However, the crisis did impact the growth of Syndicated Loans as Indian Corporates moderated their overseas 'Merger & Acquisition' activities and capacity expansion plans.

During the year 2008-09, the Bank strengthened its international operations by posting additional experienced staff to overseas branches. The additional staff was primarily posted in the marketing, IT and risk management divisions of the overseas territories. The local staff of overseas branches was also provided in-house training and sent to external institutions for development of skills.

The Bank continued with its overseas expansion plans during the year and opened four new branches/offices (including that of its Subsidiaries). The steps were initiated for opening of branches at various other centers, which are at different stages of approval. During this year, the Bank also initiated 'Targeted Publicity' through print and electronic media for enhancing visibility and canvassing business.

Business & Profit Performance

During the year 2008-09, the Total Business (Deposits + Advances) of the Bank's overseas branches registered a growth of 46.23%. The Customer Deposits increased by 56.03%, Total Deposits by 38.68% and Advances increased by 56.22%. The International Operations contributed 22.55% to Bank's global business as on 31.03.2009. As stated earlier, the growth numbers in international business expansion partly reflect the impact of currency depreciation.

Total Assets

Total assets of international operations increased from Rs 37,511 crore to Rs 51,165 crore registering a growth of 36.40% over the previous year.



Net Profit

The Net Profit of International Operations during the year increased by 23.17% (y-o-y). This is in spite of the huge requirement of provisioning due to 'Mark to Market' of Investments. The Bank does not have exposure to sub-prime assets. Also, its exposure to Derivatives is only by way of investments in 'Credit Linked Notes' (CLNs) of Indian Corporates of repute and where it is confident of the underlying credit quality. The investments have been 'Marked to Market' based on Issuers/Traders Quotes, as impact was felt on valuation as markets were quoting two way quotes at wide variance. The provisioning made by the Bank in the current year is on account of a decline in present value and is likely to get reversed on maturity of the investments. The contribution of international operations to the Bank's global Net Profit moderated to 18.86% in 2008-09.

Asset Quality

The Bank did not venture into complex CDOs (Collateralised Debt Obligations) and participated in CLNs (Credit-linked Notes) in a very modest way and that too of Indian Corporates and was, therefore, not impacted severely by the current crisis. The Bank further strengthened monitoring of assets for containing slippages and intensified the recovery efforts in NPA accounts and was able to bring down the ratio of Gross NPAs to Total Advances in its international operations during 2008-09. The Gross NPAs came down to 0.51% of total advances as against 0.55% during the previous year. The Net NPAs were maintained at almost zero level.

International Presence

The Bank's international presence covers 25 countries through its 74 branches/offices:

Bank's Overseas Branches	48
Bank's Representative Offices	03
Branches of Bank's Overseas Subsidiaries	23
TOTAL	74

In addition to the above, the Bank's associate in Zambia has 11 branches.

Overseas Expansion

During the year 2008-09, the Bank opened four new branches/offices, viz. Branch at Guangzhou (China), Electronic Banking Unit at Musaffah (UAE) and branches of the Subsidiaries at Kawempe (Uganda) and Nakuru (Kenya).

Future Plans

The Bank has ambitious plans for further increasing the branch network to take advantage of canvassing business from different geographies around the world and serve the Indian Corporates/PIOs/NRIs spread around the world. The applications filed with home country regulators for opening of branches in Russia, Canada, New Zealand, Australia, Qatar and Mozambique are under process. The Bank also has plans to further expand its branch network in UAE, Oman, UK, USA, Trinidad & Tobago, Uganda, Kenya, etc. to take advantage of the emerging opportunities. Opening of branches at Malaysia, Suriname, Yemen, Kuwait, Saudi Arabia, Maldives, etc., is also under process.

Syndication Center

The Bank has Global Syndication Centers at London and Dubai, which are supported by International Merchant Banking Cell (IMBC) - at International Division, Mumbai. These focus on the business of Syndicated Loans and CLNs. The Offshore Banking Unit in Singapore is also quite active in canvassing this business and the Bank has plans to set up Global Syndication Centre in the country to take advantage of the emerging opportunities.

Products and Services in Overseas Business

With the implementation of Core Banking Solution at all the overseas centres except New York and Brussels, the strategy was to take maximum advantage of the 'State of Art Technology' and provide Products and Services to customers, which are comparable with those offered by other International Banks. With the availability of the system the Bank launched various new products and services and enhanced the features of existing schemes to make these in line with the center-specific schemes.



Technology Upgradation in Overseas Business

The Bank has taken various technology initiatives to better serve its overseas customers. These are as follows.

- Implementation of Global Treasury Project at UK, UAE, Bahamas and Bahrain.
- Launching of view based e-banking at UAE, Oman, Fiji, Mauritius, Seychelles, Botswana and Tanzania. For other centres the process is underway.
- Additional ATMs have been installed to provide round the clock services to customers. Installation of Full functional ATMs in UAE is under process.
- Rapid Funds2 India, an on-line Remittance product, has been introduced at almost all the overseas centres..
- Payment Messaging Solution introduced at Mauritius, Seychelles, South Africa, Botswana and Kenya.
- AML ERASE and Online List Match Solutions implemented in -14- overseas territories and all the -7- overseas subsidiaries.

Bank's NRI Business

In order to serve the expatriate Indian population and also canvas business for its Indian branches, the Bank took various steps for further improving its products and services. The motto was to provide 'low cost and fast remittance' services to the customers. Besides popularizing online RTGS/NEFT remittance facility, the Bank offers services close to their doorsteps through mobile vans, visits to Indian dominated localities, extension of working hours suitable to the working population etc. The Rapid Funds 2 India was extended to new centres and, in addition, the Bank launched ClickFunds2India at U.K. To further extend its reach, the Bank has tied up with Exchange Houses for remittances. It is already made operational with seven Exchange Houses and the process is underway for increasing it.

Risk Management in Overseas Business

Risk management architecture in the financial sector has assumed greater significance in view of the increasing volumes and complexities of financial transactions. The global financial crisis too underscores the need for sound risk management, effective internal controls and strong corporate governance in financial institutions.

In order to comply with BASEL II requirements and integration of data of all the overseas territories as also to comply with the Regulatory Norms on Credit Deployment, Asset Quality, Provisioning and computation of Risk Weighted Assets, the Bank plans to implement the ASCROM (Asset Classification & Credit Monitoring) System in all its overseas territories in a phased manner. The Solution will be customised as per the territory-specific requirements to compute Risk Weighted Asset (RWA) as per the Host and Home country norms and to generate Global RWA master summary as per the Bank's Policy. The introduction of 'ASCROM' will be helpful for other MIS purposes and Credit Monitoring.

Regulatory Compliance in Overseas Business

The Bank always strictly follows the home country regulations and ensures that there is no violation on this account. The Bank has built up a reputation of being a regulatory-compliant bank and a good corporate citizen in all its overseas operations.

Treasury Operations

The financial year 2008-09 experienced huge volatility in financial markets across various asset classes. The financial crisis in the form of spiral effect of sub prime collapse resulted into further large write-downs by the world's major banks. There was a liquidity crisis in the corporate bond markets across the Globe, as the investors became more risk averse. Concerted steps had been taken by many developed and developing countries in the form of not only increased funding limits but directly infusing capital into banks to safeguard the financial systems from total collapse. The Rate Cuts have become a norm among Central Banks to restore confidence.



The Indian Bond markets saw yields moving up sharply during the first half year on concerns over rising inflation triggered by spike in oil prices. During the period April to August 2008, inflation continued to move upward and touched the high of 12.63% mainly due to high crude oil and commodity prices. The RBI also remained hawkish and raised the key rates to calm inflation expectations. The bond yields reacted to the same and the 10-year benchmark yield touched 9.54% in the month of July 2008 from 7.93% as on 31st March 2008. The interest rate showed signs of moderating during the months of October-November 2008, when inflation started coming down as a result of the softening of global crude oil prices and the RBI's monetary easing.

However, during the second half the F.Y. 2009, the markets remained volatile. Fears of the impending recession in the US due to the sub prime crisis led to Fed slashing its benchmark rate. The cut in fed rates and monetary easing by RBI brought a rally in the bonds market and the yields softened sharply. The RBI cut its repo rate from 9.00% in September 2008 to 4.75% on 21st April 2009. The 10-year yield moved down from 8.63% in September 2008 to 5.31% in December 2008. However, yields could not sustain at the lower levels for longer period on additional borrowing in the last quarter and record-borrowing programme for the year 2009-10. It closed at 7.01% on 31st March 2009. The inflation for the week ended 28th March 2009 was 0.26%. The RBI continued to actively manage the borrowing programme through its open market operations.

The corporate bond markets saw the spread widening vis-à-vis the comparable government securities. In order to protect the portfolio, the Bank shifted SLR securities from AFS to HTM at the start of the year.

However, looking to the overall economic strengths of India and having doubts about the sustainability of high interest rates for a longer term, the Bank's Treasury Division started accumulating long-term Government securities when yield on these bonds were ranging 9.25% to 9.50%. The aggressive accumulation was achieved by replacing T-bills, some short tenor securities and also by increasing the size and duration of the portfolio. The Bank also received fixed on OIS and INBMK.

The above strategy resulted into huge profits when yields started coming down. The accumulated long dated Government bonds fetched us maximum return during the short span of time. In addition, these profits could be generated without sacrificing the yield on existing portfolio. To further encash the opportunity of lower interest rates, the Treasury Division reduced duration of the portfolio by selling long-term bonds and paid fixed on OIS and INBMK. Besides, the Treasury Division continued to actively encash the arbitrage opportunities available between Money market, CBLO, G-sec and resources generated through USD/INR swaps.

The Equity Market witnessed high volatility and downward trend during the year. The benchmark Sensex, which was 15,644 on 31st March 2008, moved sharply downward and touched a low of 7,897 levels on 27th October 2008 on the concern of global economic recession. The financial stimulus packages announced by the US and European Governments to contain the economic recession started showing positive impact on global economy and in turn, impacted positively the global equity market. Indian market also showed recovery and Sensex closed at 9,708 levels on 31st March 2009. The operation at the Equity Desk of the Bank remained subdued. However, active operation has started after the stability of the market and the we now expect to earn substantial income through prudent market operations.

In the foreign exchange market, Indian rupee depreciated by 26.44% against US Dollar during the year. It moved from Rs 40.12 per USD to Rs 50.73 per USD mainly on account of huge outflows of foreign capital during the year. It oscillated between a low of Rs 39.97 and a high of Rs 52.18 against US Dollar. The Bank's integrated Treasury continued to be a prominent market maker in USD/INR, EUR/USD & GBP/USD. The Forex market remained very volatile, during the year, due to spiral effect of sub prime crisis across all Financial Centres. The Bank's Foreign Exchange Dealing Room has been able to encash the volatility and earned good profit for the Bank.

State-of-the-Art Dealing Room of the Bank at Mumbai handles the entire gamut of foreign exchange transactions and derivative products. The advanced technology environment is being leveraged by the Bank to offer a variety of products to its clients by way of hedging instruments such as Interest Rate Swaps, Currency Swaps and Options. Through the Automated Dealing System, the Bank quotes auto generated real time foreign exchange rates to its customers at all authorized branches in India, thereby, providing them the feel of the real time market.

As part of its business reengineering, the Bank is in the process of implementing Global Treasury Solution across main money centers. It has been already implemented successfully in London, Dubai, Bahrain & Bahamas. The rollout for other centers is in progress. When implemented, the Bank will have better Global Risk Management set-up and can achieve optimum deployment of resources.

The Bank has set up an active Derivative desk at its Treasury Branch, which offers customized products to meet the requirement of corporates in hedging their interest rate and currency risks.



A full-fledged Mid-office in Treasury Division monitors and manages various exposures and limits fixed by the Board of Directors on real time basis, using advanced technology. The Risk Management Tool such as Value at Risk (VaR) is used to measure the Market risk on all portfolios. Furthermore, the back testing of VaR number is conducted on daily basis to confirm the veracity of the forecasted values. The Stress Testing of all portfolios is also done to complement the VaR analysis.

Asset Quality Management

The Bank delivered a stellar performance in asset quality management in 2008-09 despite a severe industrial slowdown witnessed in the second half of the year. Through well co-ordinated and sustained efforts, the Bank's Global Gross NPA level was brought down from 1.84% to 1.27% and the Net NPA level from 0.47% to 0.31% in the course of one year.

It is worth reporting that not only the Gross NPA and Net NPA were brought down in percentage terms but were also reduced in absolute terms to Rs 1,842.92 crore and Rs 451.15 crore as at end-March, 2009 from the opening portfolio of Rs 1,981.38 crore and Rs 493.55 crore respectively.

During the year 2008-09, the Asset Quality further improved with the rise in the share of standard advances from 98.16% at the end of the previous year to the present level of 98.73% as per the table given below.

Advance Category (Gross)	31 st March 2009		31 st March 2008	
	Amount (Rs cr)	% to total	Amount (Rs cr)	% to total
Standard	143001.94	98.73	105660.44	98.16
Loss	345.34	0.24	366.12	0.34
Doubtful	832.32	0.57	887.65	0.82
Sub-standard	665.28	0.46	727.61	0.68
Gross NPA	1842.92	1.27	1981.38	1.84
TOTAL	144844.86	100.00	107671.82	100.00

The Bank's NPA coverage ratio reached a comfortable level of 75.52%. The slippages were reduced and contained at 0.95% of the Opening Standard Advances of the year as against 1.21% during 2007-08.

The aggressive and focused efforts in Recovery and NPA Management could result in the recovery of Rs 567.19 crore in NPA. Moreover, accounts worth Rs 168.20 crore were upgraded during this relatively challenging year.

It is pertinent to note that the "Recovery" in the Prudentially Written Off accounts amounted to Rs 263.15 crore during the current year, which added to the Bank's bottomline (profits) directly.

Other recovery measures undertaken by the Bank during 2008-09 included launching of "SANKALP" recovery scheme on 21.11.2008, with a focused approach for recovery in small advance accounts with an outstanding up to Rs 10.00 lacs and the Bank could recover Rs 63.09 crore by way of this campaign.

Technology Environment

The Bank had embarked on an IT enabled Business Transformation Project in 2005-06 to reposition itself in an intensely competitive banking environment. The Project envisaged a host of applications to be implemented in the Bank over a five-year period ending March 2010, which would help the Bank to transform itself into a customer-centric organization and reduce the cost of its services.

To support the Integrated Business Transformation project, the Bank set up its own State-of-the-Art Data Centre on 10th December 2005 conforming to Uptime Institute Tier-3 standard. The Bank also established a 1:1 Disaster Recovery Site taking into account international requirements of 500 km distance and different seismic zone.



Technology Progress in 2008-09

- **Core Banking Solution:** As of 31st March 2009, 1,922 branches and 28 Extension Counters in India are on CBS. This covers more than 1000 centers in 34 states/union territories and approximately 94% of Bank's domestic business. Additionally, 43 branches in 12 overseas countries and 23 branches in 7 overseas subsidiaries are on Finacle CBS. The overseas branches on CBS account for about 79% of total overseas business.
- **Wide Area Network:** The implementation of CBS and other centralized applications requires a robust Wide Area Network (WAN) with adequate redundancy built in at every layer. Bank has connected more than 2300 branches/offices on its wide area network with an assured uptime of more than 99.9%.
- **Internet Banking:** The Bank has launched full-fledged transaction-enabled Internet Banking in India, for both Retail and Corporate customers. Through this platform, customers have the facility to pay both Direct and Indirect Taxes online, make payment of utility bills and also book rail tickets. Customers can transfer funds from one account to another account within the Bank. Customers can also avail of the services for inter-bank transfer of funds through Internet Banking using NEFT/RTGS. Corporates also have the facility of direct salary uploads. The internet banking customers in India are also provided SMS alerts facility. Internet Banking has also been launched in 7 overseas territories, viz., Botswana, Fiji, Mauritius, UAE, Oman, Seychelles and Tanzania.
- **Phone Banking:** The Bank has recently launched one more delivery channel, Phone Banking facility, for our customers. This facility enables customers to get Bank's products information, enquire balances in their account, status of cheques, order statement of account through fax or e-mail etc.
- **RTGS/NEFT:** All CBS branches of the Bank are enabled for inter bank remittances through RTGS and NEFT. RTGS and NEFT has also been interfaced with our internet banking portal. This will give our customers the facility of making inter bank money transfers online using internet banking.
- **Online Money Transfer Service:** An online money transfer service - Rapid Funds2India - has been enabled in our branches of UAE, Oman, UK, Mauritius, Seychelles, Botswana, HongKong, Fiji, Ghana, Kenya, Guyana, South Africa, Tanzania, Uganda and Trinidad & Tobago. NRI's in these territories can avail of this service which facilitates almost instant credit to the beneficiary's accounts in any CBS branch in India. Where they maintain accounts with other banks, same day or next day credit is facilitated through RTGS / NEFT.
- **Cash Management Services:** Corporate Cash Management has been launched in December 2008 in Mumbai. This service enables our corporate customers to manage their funds efficiently through bulk payment services, local/out-station fund collection (paper based or electronic) and liquidity through fund pooling facility.
- **Base 24 ATM Switch** has been implemented for all domestic ATMs and for ATMs in 5 overseas territories. This new ATM Switch will ensure scalability to handle more ATMs and transactions. Currently, 1179 domestic ATMs and 36 ATMs in five overseas territories are operational..
- **Retail Depository services** are made available to our customers from 275 branches. With a centralized depository application, branches are now equipped to provide depository services for both NSDL as well as CDSL. Depository customers can now avail of these services from any of the 275 designated branches. The services will be extended to cover all CBS branches of the Bank.
- **Global Treasury:** Global Treasury has been implemented in UK, Bahamas, UAE and Bahrain and Singapore. Hongkong and India Global Treasury implementation planned in ensuing year.
- **Payment Messaging:** The Bank has implemented Payment Messaging Solution in five overseas territories. Payment Messaging Solution (PMS) is a SWIFT messaging platform for automated flow of messages from CBS. This facilitates Straight Through Processing (STP) of SWIFT messages generated from CBS, and also goes through AML check. Bank proposes to implement PMS in all territories, including domestic branches authorized for dealing in forex transactions.
- **City Back Offices:** Centralization of back office functions at the branches has been implemented to relieve the operational staff at the branches from the load of cumbersome back-office functions and



focus on sales and services. 19 Service Branches and 48 Main Offices are functioning on the City Back Office model. These offices handle the entire clearing and collection functions of all branches in the city.

- **Regional Back Office** The first Regional Back Office at Baroda has commenced operations for the process of centralized account opening. The RBOs will cater to a cluster of 350 – 400 branches for back office activities, such as, account opening, signature scanning, cheque book issue, statement printing, FDR renewals, TDS certificates and some part of MIS.
- **Anti Money Laundering:** To meet regulatory requirements, AML system has already been implemented in India and 14 overseas territories, viz., Oman, UAE, Fiji, Mauritius, Seychelles, Tanzania, Bahamas, Kenya, Uganda, Guyana, Hongkong, Botswana, U.K., S. Africa.
- **Help Desks:** 24x7x365 Global Help Desk is functioning at the Data Centre. Bank has also set up Local Help Desks (LHDs) at all Zonal Centers manned by Bank's trained officers to handle day-to-day operational issues and these LHDs function from 8 am to 10 pm. All branches are connected to Global Help Desk and Local Help Desks by VOIP phones.
- **IS Security:** A robust Information Security Management System has been put in place to protect the technology against security threat. Bank has implemented a centralized anti-virus program. Bank has also in place a comprehensive IT Security policy and associated procedures for various areas of IT security such as password policy, access control policy etc.
- **HRnes:** The Bank has successfully implemented the Human Resource Networking for Employees Service with the main objective of creating a central database of its employees for facilitating decision-making, promotion and selection exercise as also for automating other HR process. Employees are provided with the functionality of self-service.
- **Centralized Payroll** for employees has been implemented for all domestic offices in India rendering efficiency and accuracy.
- **Training Technology Training:** The Bank's training establishments have trained nearly 15000 employees on CBS modules and other technology applications. Refresher courses are also conducted on week-ends covering specific Finacle modules and other applications.
- **Disaster Recovery and Business Continuity:** To ensure Business Continuity at all times Bank has implemented a state-of-the-art Data Centre and also a Disaster Recovery site. Drills are conducted at regular intervals and operations transferred to the DR site seamlessly to ensure continuity of operations at all times

Future Plans on Technology Front

- Core Banking Solution and other applications will be extended to cover all branches and offices in India and abroad.
- The Bank's Internet Payment Gateway with 3D secure will be launched during 2009-10.
- Four more Regional Back Offices are expected to be operational in Jaipur, Lucknow, Bhopal and Coimbatore.
- Single integrated Global Treasury covering India as well as overseas centres will be completed.
- SWIFT operations across the globe will be centralized by hosting a SWIFT global hub in India. Under this process, the individual SWIFT infrastructure in each overseas territory will be dismantled and entire SWIFT operations across territories will be conducted through the global hub.
- As part of the Document Imaging and Workflow automation Project, Bank will be implementing Loan Processing module, which will enable the Retail Loan Factories to track sales lead and also track the progress of processing of proposals, right up to sanction and disbursement of the loans.
- Several other Projects like Customer Relationship Management, Online Trading, Data Warehouse, Knowledge Management, Centralized Sourcing and Procurement System, Activity Based Performance Management and Balanced Score Card and Centralized Pension Processing Cell will also be enabled during 2009-10.



The implementation of IT enabled Business Transformation Project provides the customer a wide choice of delivery channels, convenience banking and a basket of products to suit his requirement. The Bank's ultimate objective is to reorient itself as a highly technology enabled Bank and Bank of first choice for its customers in order to emerge as a leader in the global market place on every single parameter including technology.

Human Resources

In an environment where technology, business models are being replicated and a level playing field is created, people factor and the organization culture become the key differentiator in achieving business excellence. The Bank, foreseeing this emerging scenario conceptualized and initiated numerous HR interventions. Aligning Human Resources with the Business Transformation demands at Corporate and local levels in different areas like hiring, performance management, and talent identification and employee engagement. Technology up gradation in HR is also a major development in the year.

HRnes (Human Resources network for employees' services & Employee Payroll System)

HRnes (Human Resources network for employees' services), the web-enabled enterprise wide HR solution was launched on 26.11.2007 and it was rolled out across the country during the year. Further, additional employee-friendly functionalities were added to enable the employees to submit online applications for request transfer, grievance redressal, promotions, selection, asset-liability statement, income tax declaration, etc. Payroll has been implemented in all branches/offices in India enabling automatic calculation and credit of salary in the Accounts of employees, PF and loan deductions, etc. This has significantly contributed in reduction of cost, improvement in efficiency in HR administration and convenience to the employees.

Leadership Development – Project LEAP

Post-2009 technology environment, competitive compulsions, entry of foreign banks, M&A will all tend to change the course of banking necessitating new breed of leaders at different levels. Managing and leading a financial services organization in such an environment would be a new challenge for future leaders.

Further, one of the key drivers for market leadership will be the Bank's internal leadership. It is in response to this that the Project LEAP (Leadership enhancement and appreciation process) was conceived and launched aimed to groom our executives in leadership and capability building.

Three hundred Executives are being groomed in Leadership in a phased manner. The rigorous process involves:

- Identifying a competency framework for future leaders in the Bank.
- Administration of psychometric instruments and 360 degree feedback for each identified executive for building on their strength and working in the areas where development is needed.
- Classroom orientation & Action Learning Projects.
- Succession Planning.

Marketing

During the year 2008-09, brand "Baroda" continued to excel in providing world-class service to its customers across the globe. Throughout the year, regular sales campaigns were organized to promote various products of the bank especially Current Account, Saving Account, and other retail business. Special drives were undertaken to promote technology enabled services i.e. debit card, internet banking, online remittances, payment of online taxes, utility bills etc. during the year.

The bank continued its focus on promotion of popular products and schemes as well as concepts such as "Home Loan Factory", and "SME Loan Factory" through sustained coverage in print, out-of-home media and industry presentations etc. Bank started a separate page on SME in Economic Times to promote customized products and services for SME business segment. The page titled 'Bank of Baroda presents SME Factory' will be published on weekly basis. It is envisaged that this initiative will position Bank as a major lender for SME.

One of the major communication campaigns conducted during the year was 'Shukriya Sau Salon Kaa' to express Bank's gratitude to all stakeholders for 100 years of relationship with them. Another major communication campaign of the year was 'Baroda Next'. The campaign aimed at positioning Bank's technology-based services with human-touch. The year 2008-09 also witnessed the culmination of year-long centenary celebrations of the bank.

In recognition of Bank's efforts to increase the business across the globe, the Bank was awarded "Leading Public Sector Bank" in "Global Business Development" category by Dun & Bradstreet Banking Awards and MIDAS Awards.



New York for Marketing Effectiveness. The Bank bagged "Silver Trophy" award for its corporate film and Quarterly Economic Review from the Association of Business Communicators of India (ABCI) during the year.

In continuation of bank's efforts to establish its branches as sales & service center, Bank plans to set up 'City Sales Office', an additional marketing channel to reinforce the efforts of branches for business development, across 50 centers throughout the country, shortly.

With effective communication and strategic marketing initiatives, the Bank enhanced its global image of being 'India's International Bank', during the year.

Premises Re-Engineering & Ambience Enhancement

The Bank initiated the following construction and other activities during the year 2008-09.

The following construction projects are in progress and are expected to be completed within the reasonable time limit.

1. Corporate Center at C-34, Bandra Kurla complex, Mumbai
2. Administrative building at Gomtinagar, Lucknow
3. Administrative building at Jamshedpur, Jharkhand.
4. Building for Branch at Rajpipla.
5. Commercial-cum- Residential complex at Ghod Dod Road, Surat.
6. VKI, Jaipur.
7. Pant Nagar, SIDCUL.
8. Construction of Bank of Baroda Centenary year (2007-2008) Sir Sayajirao Nagar Griha at Baroda for handing over to the Vadodara Municipal Corporation as an appreciation to the city of Baroda on completion of 100 years of Bank of Baroda.

The construction projects at Mylapore and Alwarpet at Chennai, East of Kailash and Janakpuri at New Delhi are in the final stages of issuing tenders etc. It is the Bank's endeavour to make use of all the landed property purchased by the Bank to put to use by constructing either commercial or residential premises.

The construction project completed during the year and are in use/operation

As regards this, one building, which was earlier occupied by the sub-staff has now been converted into Studio type flats for officers at Bhandup, Mumbai.

Refurbishment

Subsequent to the implementation of the CBS at Branches, the Bank has made it a point to ensure that maximum number of branches are put under refurbishment, up gradation, face lifting, redesigning and improved ambience for facilitating convenient banking to customers. During the year, 290 branches were refurbished. The Bank has also initiated steps for standardization of the interior of branches and offices.

Under the Business Process Re-engineering, the Bank has initiated steps to establish Regional Back Offices (RBO) and City Back Offices (CBO) at different centers of the country. The RBOs at Jaipur and Baroda have already been furnished as per the requirement and are ready for operation.

Two MICR Centers at Bhavnagar and Jamnagar have been refurbished and functionalized during the year.

Increased use of IT to improve efficiency of the department

The department is extensively increasing the use of IT in its day to day functioning to improve efficiency. The contracts are being finalised through e-tendering process.

Other Activity

As a part of the Bank's conscious efforts to reduce rental burden, continued efforts are being made to ensure optimum use of existing premises. As a result, the Bank could surrender as much as 86,786 sq.ft. leased area during the period under review (2008-2009). It is the policy of the Bank to go for surrender of Maximum area in each year.


BRANCH NETWORK: BRICK AND MORTAR DISTRIBUTION CHANNELS CLOSER TO THE CUSTOMER (31ST March 2009):

Area Classification (India)	Number of Branches	% Share in Total
Metro	637	21.77
Urban	540	18.46
Semi-urban	649	22.18
Rural	1100	37.59
Total	2926	100.00
Overseas	48	100.00

Main Objects of the Bank

Section 3(5) of the Banking Companies (Acquisition and Transfer of Undertakings) Act, 1970 states as follows: "Every corresponding new bank shall carry on and transact the business of banking as defined in clause (b) of section 5 of the Banking Regulation Act, 1949 (10 of 1949) and may engage in one or more of the other forms of business specified in sub-section (1) of section 6 of that Act."

Section 5(b) of the Banking Regulation Act reads as follows:

"banking" means the accepting, for the purpose of lending or investment, of deposits of money from the public, repayable on demand or otherwise, and withdrawable by cheque, draft, order or otherwise."

Section 6(1) of the Banking Regulation Act reads as follows:

"Form and business in which banking companies may engage:

(1) In addition to the business of banking, a banking company may engage in any one or more of the following forms of business, namely:

- (a) the borrowing, raising, or taking up of money; the lending or advancing of money either upon or without security; the drawing, making, accepting, discounting, buying, selling, collecting and dealing in bills of exchange, hundis, promissory notes, coupons, drafts, bills of lading, railway receipts, warrants, debentures, certificates, scrips and other instruments and securities whether transferable or negotiable or not; the granting and issuing of letters of credit, computer's cheques and circular notes; the buying, selling and dealing in bullion and specie; the buying and selling of foreign exchange including foreign bank notes; the acquiring, holding, issuing on commission, underwriting and dealing in stock, funds, shares, Bonds, Bond stock, bonds, obligations, securities and investments of all kinds; the purchasing and selling of bonds, scrips or other forms of securities on behalf of constituents or others; the negotiating of loans and advances; the receiving of all kinds of bonds, scrips or valuables on deposit or for safe custody or otherwise; the providing of safe deposit vaults; the collecting and transmitting of money and securities;
- (b) acting as agents for any Government or local authority or any other person or persons; the carrying on of agency business of any description including the clearing and forwarding of goods, giving of receipts and discharges and otherwise acting as an attorney on behalf of customers, but excluding the business of a managing agent or secretary and treasurer of a company;
- (c) contracting for public and private loans and negotiating and issuing the same;
- (d) the effecting, insuring, guaranteeing, underwriting, participating in managing and carrying out of any issue, public or private, of State, municipal or other loans or of shares, stock, Bonds, or debenture stock of any company, corporation or association and the lending of money for the purpose of any such issue;
- (e) carrying on and transacting every kind of guarantee and indemnity business;
- (f) managing, selling and computer any property which may come into the possession of the company in satisfaction or part satisfaction of any of its claims;
- (g) acquiring and holding and generally dealing with any property or any right, title or interest in any such property which may form the security or part of the security for any loans or advances or which may be connected with any such security;
- (h) undertaking and executing trusts;
- (i) undertaking the administration of estates as executor, trustee or otherwise;
- (j) establishing and supporting or aiding in the establishment and support of associations, institutions, funds, trusts and conveniences calculated to benefit employees or ex-employees of the company or the dependents or connections of such persons; granting pensions and allowances and making payments towards insurance; subscribing to or guaranteeing moneys for charitable or benevolent objects or for any exhibition or for any public, general or useful object;
- (k) the acquisition, construction, maintenance and alteration of any building or works necessary or convenient for the purposes of the company;
- (l) selling, improving, managing, developing, exchanging, leasing, mortgaging, disposing of or turning into account or otherwise dealing with all or any part of the property and rights of the company;
- (m) acquiring and undertaking the whole or any part of the business of any person or company, when such business is of a nature enumerated or described in this sub-section;
- (n) doing all such other things as are incidental or conducive to the promotion or advancement of the business of the company;
- (o) any other form of business which the Central Government may, by notification in the Official Gazette, specify as a form of business in which it is lawful for a banking company to engage."



Section 3 (7) of Chapter II of the Banking Companies (Acquisition and Transfer of Undertakings) Act, 1970 provides for the Bank to act as Agent of RBI.

(1) The Bank shall, if so required by the Reserve Bank of India, act as agent of the Reserve Bank at all places in India where it has a branch for:

a) Paying, receiving, collecting and remitting money, bullion and securities on behalf of the Government of India.

b) Undertaking and transacting any other business, which the Reserve Bank may from time to time entrust to it.

(2) The terms and conditions on which any such agency business shall be carried on by the corresponding new Bank on behalf of the Reserve Bank shall be such as may be agreed upon.

(3) The corresponding new Bank may transact any business or perform any function entrusted to it under Clause (1) by itself or through any agent approved by the Reserve Bank.

Operating & Financial Highlights

(Rs. in million)

As on/ For the Year ended	March 31, 2005	March 31, 2006	March 31, 2007	March 31, 2008	March 31, 2009
Total Income	77338.59	81773.43	103858.78	138645.12	178492.35
Total Expenditure	54319.45	62598.40	79708.70	108359.63	135442.29
Operating Profit (before provisions and contingencies)	23019.14	19175.03	24150.08	30285.49	43050.06
Profit Before Tax	8831.17	11145.98	18542.56	22071.56	33429.45
Net Profit after Tax	6768.37	8269.58	10264.65	14355.21	22272.02
Equity Share Capital	2943.28	3655.27	3655.28	3655.28	3655.28
Total Reserves & Surplus	53332.27	74789.07	82844.10	106783.99	124700.13
Net worth	53910.00	76187.30	84380.80	96399.69	113971.94
Total Deposits	813334.64	939519.92	1249159.79	1520341.27	1923969.52
Demand Deposits from Banks	3814.37	5859.01	4372.17	6161.66	6829.90
Demand Deposits from Others	64796.54	77888.19	94375.82	110798.40	137682.34
Saving Deposits	227769.28	271604.4	315772.77	357763.82	424872.78
Term Deposits from Banks	31940.25	38501.19	120067.59	134165.59	168874.68
Term Deposits from Others	484914.21	542727.12	714551.44	911451.81	1185709.61
Total Advances	434003.84	599117.78	836208.69	1067013.24	1439858.96
Advances in India	356713.74	503716.44	672626.92	846033.08	1092829.98
Advances outside India	77290.10	95401.34	163581.77	220980.18	347028.98
Total Investments	378744.41	351142.18	348436.28	438700.68	524468.76
Investments in India	348983.73	318892.16	312802.25	403141.51	485017.81
Investments outside India	22050.68	32250.02	36634.03	35559.17	38440.95

Capital Adequacy position of the Bank

Details of capital vis-a-vis risk weighted assets for the last five financial years are as under:

(Rs. in crores)

As on March 31	2005	2006	2007	2008	2009
Eligible Tier I Capital	3954.23	7028.83	7607.46	8495.72	11099.64
Eligible Tier II Capital	2122.28	1712.63	2859.05	5855.51	7244.12
Total Capital	6076.51	8741.46	10266.51	14351.23	18313.76
Total Risk-Adjusted Assets	48172.00	64019.54	87038.71	111438.03	142238.91
Capital Adequacy Ratio (%)	12.61	13.65	11.80	12.91	12.88

Key Financial Ratios

As on March 31	2005	2006	2007	2008	2009
Credit/ Deposit Ratio (%)	56.82	67.15	74.35	77.32	82.36
Return on Average Net Worth (%)	12.55	10.85	12.17	15.07	19.56
Yield on Advances (%)	7.18	7.43	8.37	9.53	9.50
Yield On Investments (%)	7.66	7.64	7.08	6.56	7.05
Cost of Deposits (%)	4.23	4.15	4.77	5.69	6.71
Cost of Borrowings (%)	-	6.47	6.41	5.06	-
Capital Adequacy Ratio (%)	12.61	13.65	11.80	12.91	12.88
Tier-I (%)	8.21	10.98	8.74	7.63	7.79
Tier-II (%)	4.40	2.67	3.06	5.28	5.09



Dividend Pay Out Ratio (Including Corporate Dividend Tax)	24.67	25.11	24.39	23.76	17.22
Business per Employee (Rs in Lakh)	316	306	548	704	813
Gross Profit per Employee (Rs in lakh)	6.82	4.95	6.34	7.95	11.69
Business Per Branch (Rs in Lakh)	4556	5599	7523	8825	11311
Gross Profit per Branch (Rs in lakh)	84	70	87	104	145
Earning Per Share (in Rs.)	23.08	27.10	28.18	39.41	61.14

Capital Adequacy Ratio as per Basel II norms

Particulars as on 31 st March	2008	2009
Capital Adequacy Ratio (%)	12.94%	14.05%
Tier-I (%)	7.64%	8.49%
Tier-II (%)	5.30%	5.56%

Subsidiaries/ Associates of the Bank

Overseas Subsidiaries & Joint ventures of Bank of Baroda as of March 31, 2009 (Rs crore)

Overseas Subsidiary	Total Assets	Net Profit/Loss	Staff No.
1. Bank of Baroda (Uganda) Ltd*	730.76	33.39	167
2. Bank of Baroda (Kenya) Ltd*	1141.05	28.95	135
3. Bank of Baroda (Tanzania) Ltd *	294.45	6.75	28
4. Bank of Baroda (Botswana) Ltd**	539.65	9.07	26
5. Bank of Baroda (Hong Kong) Ltd\$	NIL	NIL	NIL
6. Bank of Baroda (Guyana) Ltd**	162.86	1.54	15
7. Bank of Baroda (T&T) Ltd	101.82	-0.97	19
8. Bank of Baroda (UK) Ltd**	0.08	0.01	-
9. Bank of Baroda (Ghana) Ltd.*	44.03	1.54	9
10. Baroda (New Zealand)	113.19	-5.44	-
Total	3097.70	72.83	401
Joint Venture			
Indo-Zambia Bank Ltd (Lusaka)**	839.01	21.57	257

* Audited Figures belong to year ended 31st Dec 2008.

** Audited Figures belong to the year ended 31st March 2009

\$ The Subsidiary stopped taking fresh business w.e.f. 31.03.2007. Dissolved on 02.04.2009.

Domestic Subsidiaries, Joint Ventures & Associate Bank

The performance of "Subsidiaries & the Associate Bank" of the Bank during 2008-09 was good except for that of the BOBCARDS Ltd., which incurred a loss of Rs 11.42 crore due to stringent application of the IRAC Norms (Prudential Norms on Income Recognition, Asset Classification & Provisioning). The Baroda Pioneer Asset Management Co. Ltd. too incurred a loss of Rs 6.12 crore primarily due to higher establishment expenses.

However, development plans are in progress for all the subsidiaries of the Bank. A turnaround strategy is being carved out for the BOB Capitals Ltd., which would soon see a commencement of stock broking operations. For BOBCARDS Ltd., active handholding with the Parent Bank is under implementation with a thrust on NPA recovery and consolidation of its operations.

(Rs lacs)

Entity (with date of registration)	Country	Owned Funds	Total Assets	Net Profit	Offices	Staff
BOB Capital Markets Ltd. 11 Mar. 1996	India	11,206.77	11,206.01	967.94	1	10
BOBCARDS Ltd. 29 Sept. 1994	India	10,379.49	21,331.35	(-) 1,141.81	37	143
Associate Baroda Pioneer Asset Mgmt. Co. Ltd. 5 Nov. 1992	India	7,381.79	7,652.64	(-) 612.08	1	31
Neinital Bank Ltd. 31st Jul 1922	India	17,531.90	2,43,923.18	3,802.62	92	650



VI. BRIEF HISTORY OF ISSUER SINCE INCEPTION, DETAILS OF ACTIVITIES INCLUDING ANY REORGANIZATION, RECONSTRUCTION OR AMALGAMATION, CHANGES IN CAPITAL STRUCTURE, (AUTHORIZED, ISSUED AND SUBSCRIBED) AND BORROWINGS

HISTORY SINCE INCEPTION

Bank of Baroda was established in 1908 in Baroda as a private bank and following nationalization became a wholly-owned Government bank in 1969. Head office of the Bank is at Baroda and its corporate office is at Mumbai. Initial Public Offering of the Bank was launched in the year 1996 at which time the shareholding of the Government of India was diluted to 66.83%. After another issue in January 2006, the Government of India's shareholding got reduced to 53.81%. The Bank has been earning profits continuously and has a consistent record of paying dividends to its shareholders.

As of March 31, 2009, the Bank had 2926 branches in India spread across the country. As of March 31, 2009, the Indian branch network of the Bank comprised of 1100 rural, 649 semi-urban, 540 urban and 637 metropolitan branches, all of which are either fully or partially computerised. In addition, all the overseas and treasury operations of the Bank are fully computerised.

The international operations of the Bank have a considerable history with its first overseas branch in Mombasa, Kenya established in 1953. Today the Bank along with its subsidiaries and associates has international presence in 25 countries with 74 branches and offices, which gives it diversity of business and a wide customer reach.

Year	Event
1908	Establishment of the Bank
1910	Opened our first branch in the city of Ahmedabad
1919	Opened our first branch in Mumbai City
1953	First international branch opened at Mombasa, Kenya
1958	The Hind Bank merged with us
1962	The New Citizen Bank Limited merged with us
1963	We acquired the Surat Banking Corporation
1964	The Umergaon Peoples' Bank & Tamlinedu Central Bank merged with us
1988	The Traders Bank Limited merged with us
1995	First bond issue of Rs. 500 crores
1996	Our first public issue of Rs. 850 crores
1999	- Commenced operations as a depository - Bareilly Corporation Bank merged
2000	Appointed Arthur Andersen India Private Limited as risk management consultant for setting up a Comprehensive Risk Management Architecture for the Bank
2001	Establishment of a separate Risk Management Department, headed by a General Manager
2002	- The first Public Sector Bank in India to set up a Specialized Integrated Treasury Branch (SITB) in Mumbai. - The Benares State Bank Limited merged with us
2004	- The South Gujarat Local Area Bank merged with us. - Signed MOU with National Insurance Co. Ltd. On 1st June 2004 for selling their non life insurance products under corporate agency arrangement.
2005	- Bank's new logo launched - Launched the IT Enabled Business Transformation Program and signed the contract with Hewlett Packard in this regard - Multicity cheque facility launched - Upgradation to the Bank's IT framework to ensure consonance to world-class standards rolled out.



2006	- Bank launched Rahul Dravid-an internationally acclaimed cricketer of the Indian Cricket Team-as the Bank's Brand Ambassador. - Marketing efforts have improved Bank's ranking in the Economic Times Brand Equity Survey and ranked in the top 20 best service brands of the country. - Operationalisation of 17 Central Processing Cells for expeditious processing and sanctioning of retail loan proposals and setting up of 114 MoneyPlex outlets-dedicated retail boutiques-across the country. - Project Parivartan-Urban Delivery Model: A Retail Loan Factory launched. - CBS rolled out in 126 branches across 13 centres in India with plans to cover additional 750 branches during fiscal 2007. - Commissioning of State-of-the Art Global Data Centre and interconnectivity of over 1300 branches in India. - Commissioning of 464 new ATMs across the country taking the total tally to 634. 544 Branches brought under RTGS, 74 branches brought under NEFT operations and extension of I-BOB branches to reach 600.
2007	- Gen-Next Branch is launched for next generation youth customers, with state-of-the-art ambience and technology, "Your Zone" with value added facilities like reading lounge, net-surfing facility, customer kiosks, etc. - Core Banking Solution implemented in more than 1300 branches "Baroda Connect" - Internet banking, phone banking and mobile banking - facility launched - Electronic Payment Facility - "Baroda E Pay" is launched - Bank's ATM network crossed 1000 mark "Rapid Funds 2 India" - online money transfer service is launched - Baroda RemitXpress - an international money transfer facility is also launched - Western Union Money Transfer facility for inward remittance from abroad - Sampark - Chairman's help line for employees inaugurated to help employees in extreme problems "Paramarsh" a counseling service for employees is set up to help employees requiring assistance in overcoming stress, complexities, conflicts, etc - Leadership Development Programme for grooming 300 leaders for the future - Distribution of mutual fund products - Strategic tie-up with UTI, Birla SunLife, Reliance, Franklin Templeton and Sundaram BNP - Distribution of life and non-life insurance products - Tie up with National Insurance Company. - Online Trading Facility - "Baroda E trading" - launched - Joint Venture Partnership for Mutual funds - Joint Venture partnership for life insurance - Signed MoU with Legal & General of UK
2008	- Core Banking implemented in 1953 branches on date - Bank of Baroda opened a branch at Kawempe in Uganda. This is the 8th branch of its Subsidiary in Uganda. - Bank of Baroda opened a branch at Nakuru in Kenya. This is the 8th branch of its Subsidiary in Kenya.

Awards And Recognitions

Year	Awards And Recognitions
2004	- First prize from RBI for implementation of Official Language in "B" region for the year 2003-04 - First prize from Rashtriya Hindi Academy Roopambara, Kolkata for best implementation of Official Language "BOB MAITRI", the house journal of the Bank received an award from the RBI under the bilingual journal category. - Khadi & Gram Udyog Commission awarded second prize for excellent work by Eastern UP Zone of the Bank - Kheda District in Anand Region (Gujarat) has achieved first rank under SGSY Scheme. - Ranked as the best customer centric bank among all the public sector banks operating in India by the magazine Outlook Money in its September 2004 issue



2005	- Received appreciation from District Magistrate Nainital (Uttaranchal) for excellent performance under Annual Credit Plan - Corporate Governance Rating – Bank of Baroda is the first public sector bank to be assigned a Corporate Governance Rating "CGR-2" g "CGR2" granted by ICRA in relation to the corporate governance practices of the Bank - First prize by NABARD for linking maximum number of SHGs under SHG Bank Linkage programme in the states of Gujarat and Rajasthan for the year 2003-04. - Second prize by the Government of Tamilnadu for its performance under SHG Bank linkage programme - Ranked third by the Government of UP in relation to the SHG Bank Linkage programme - Ranked among the top 500 banks of the world by the magazine "The Banker", UK in its July 2005 issue. 21 out of the 36 specialized SSI branches have been covered under ISO-9002 certification. - First Prize from RBI for implementation of Official Language in "A", "B" and "C" regions for 2004-05. - First Prize in Indira Gandhi Rajbhasha Shield for implementation of Official Language for 2004-05.
2006	525 Branches and Offices including 47 specialised branches have been brought under ISO certification. - Bank ranked in The Economic Times Brand Equity Survey in top 20 best service brands of the country. - Retail Loan Factories : 15 Nos. at important centres. These are in addition to the existing CPCs and MoneyPlex outlets. 27 SME Loan factories launched. - Introduction of 24-hour human banking at 9 branches 506 – "8 am to 8 pm" banking branches. - Introduction of "Happy Hour Banking" - Second Prize in Indira Gandhi Rajbhasha Shield for implementation of Official Language for 2005-06. - Excellence in Financial Communication Award 2006 by ABCI.
2007	- The bank's ranking among the World's Top 1000 banks in "The Banker" magazine, London has improved from 416 to 258 in 2007. - Second Prize in Indira Gandhi Rajbhasha Shield for implementation of Official Language for 2006-07. - Golden Peacock Innovation Award 2007 for innovation. - Outlook Money NDTV Money Award 2007 for Best Bank in Home Loan Category - Asian Banker Award 2007 for Best Retail PSU - Employer Branding Award 2007 for managing Health at Work - MIDAS Award 2007 for marketing effectiveness
2008	- Association of Business Communicators of India gives awards every year in various categories of Business Communication. Bank of Baroda got the silver trophy in the categories of Corporate Film and Quarterly Economic Review and a Bronze trophy for Bilingual Internal Magazine. - Dr. Anil K. Khandelwal, Chairman and Managing Director, Bank of Baroda was awarded the Lifetime Achievement Award for his contribution to the field of Human Resources Management by the Indian Society for Training and Development (ISTD) at its Western Regional Conference held at Baroda on 4th of January 2008. - According to Business Today Survey –Oct 21,2007 edition,Bank of Baroda was adjudged one of the top 10 Marketers,along with well known brands. Bank of Baroda is the only bank finding place in the top 10. - Association for Business Communicators of India Award 2008 in three different categories i.e. Internal Magazine (Bobmaitr), New Publication (Quarterly Economic Review) and Corporate Film(Centenary Film).
2009	- Mr. Dipankar Mookerjee, General Manager (HR & Marketing) and Chief Brand Custodian of Bank of Baroda was awarded The Rajiv Gandhi Sadbhawana Award for the year 2008 for his outstanding performance and best services in Banking Sector in the area of Marketing. The Rajiv Gandhi Forum, Orissa, affiliated to The Rajiv Gandhi Foundation, New Delhi, gave the Award. - Bank has won award for the leading Public Sector Bank in "Global Business Development" category at the Dun & Bradstreet Banking Awards 2009, held in Mumbai, on Wednesday 18th Feb'2009.

**CAPITAL STRUCTURE (as on March 31, 2009)**

Particulars	Amount
1. SHARE CAPITAL	
a. Authorised Equity Share Capital	
1,50,00,00,000 Equity Shares of Rs. 10/- each	15,00,00,00,000.00
b. Issued & Subscribed Equity Share Capital	
36,70,00,000 Equity Shares of Rs. 10/- each	3,67,00,00,000.00
c. Paid-Up Equity Share Capital	
36,42,66,500 Equity Shares of Rs. 10/- each	3,64,26,65,000.00
Add: Amount of Shares Forfeited	1,26,12,000.00
Total Paid-Up Equity Share Capital	3,65,52,77,000.00
2. SHARE PREMIUM ACCOUNT	22,73,86,56,000.00

Note: The Bank came out with Initial Public Offer (IPO) of equity shares in year 1997 and a Follow On Public Offer (FPO) in the year 2006. The other details of the capital infusion are given below.

SHARE CAPITAL HISTORY (since 1991)

(Rs. in crores)

Date of Allotment	Equity Capital (Rs. Crore)	Reason
31/03/1991	123.45	Capital contributed by Government
31/03/1992	238.37	Capital contributed by Government
31/03/1993	329.96	Capital contributed by Government
31/03/1994	739.30	Capital contributed by Government
31/03/1995	740.84	Capital contributed by Government
31/03/1996	577.00	Restructuring - Trans. To Cap. Res.
05/12/1996	196.00	Capital Restructuring
21/02/1997	296.00	Public Issue
02/02/2006	367.00	Public Issue

TOP 10 SHAREHOLDERS

(as on March 31, 2009)

Sr. No.	Name of Shareholder	% Shareholding
1.	President of India	53.81
2.	Life Insurance Corporation of India	8.72
3.	Genesis Indian Investment Company Ltd - General Sub Fund	3.42
4.	Aberdeen Asset Managers Ltd. a/c Aberdeen	1.80
5.	HDFC Trustee Company Ltd. - HDFC Equity Fund	1.24
6.	FID Funds (Mauritius) Ltd.	1.19
7.	Reliance Capital Trustee Co Ltd - Reliance Longterm Equity Fund	0.91
8.	Reliance Capital Trustee Company Ltd a/c Reliance Growth Fund	0.78
9.	Reliance Life Insurance Company Ltd.	0.64
10.	HDFC Trustee Company Ltd. - HDFC Top 200 Fund	0.62
TOTAL		73.13

SHAREHOLDING PATTERN (as on March 31, 2009)

Sr. No.	Category	No. of Shareholders	No. of Shares Held	% Shareholding
I.	Promoter (Government of India)	1	196000000	53.81
	Total (Promoters)	1	196000000	53.81
II.	Institutions			
a.	Mutual Funds/ UTI	128	44756788	12.29
b.	Financial Institutions/ Banks	28	913489	0.26
c.	Insurance Companies	18	34900318	9.58
d.	Foreign Institutional Investors	132	49302690	13.53
	Total (Institutions)	306	129872285	36.65
III.	Non-Institutions			
a.	Bodies Corporate	1637	11246747	3.09
b.	Individuals (less than Rs. 1 lac of nominal value)	184099	22673180	6.22
c.	Individuals (more than Rs. 1 lac of nominal value)	36	1593072	0.44
e.	Trusts & Foundation	23	21099	0.01
f.	Overseas Corporate Bodies	4	26200	0.01



g. Non-Resident Indians	3160	2253883	0.82
h. Clearing Member	148	579908	0.16
i. Foreign National	1	116	0.00
Total (Non-Institutions)	189108	38394215	10.55
IV. Shares held by Custodians and against which Depository Receipts have been issued	0	0	0
Grand Total	189415	384206500	100.00

DETAILS OF BORROWINGS IN THE PAST

A. Other than Overseas Medium Term Notes

The Bank has raised Capital by way of private placement of bonds to augment capital adequacy as under:
(Rs. in crores)

Bonds - Series	Year of Issu	Size (Rs in Crore)	Tenor (in months)/ Coupon in % p.a.	Rating	Redemption due on	Outstanding amount as on 31.03.2009
IV (LT-II)	2004	300	128 Months (5.85%)	LAAA BY ICRA AAA (Ind) BY FITCH	02.07.2014	300.00
V (LT-II)	2006	770	115 Months (7.45%)	LAAA BY ICRA & AAA (Ind) by Fitch	28.04.2015	770.00
VI (LT-II)	2006	920	115 Months (8.95%)	AAA/Stable by CRISIL & LAAA by ICRA	15.05.2016	920.00
VII (UT-II)	2007	500	180 Months with call option after 10 years - (9.30% up to 10 yrs and 9.80% for next five years, if call option not exercised)	AAA/Stable by CRISIL & CARE AAA by CARE	28.12.2022	500.00
VIII (UT-II)	2008	1000	180 Months with call option after 10 years - (9.30% up to 10 yrs and 9.80% for next five years, if call option not exercised)	AAA/Stable by CRISIL & CARE AAA by CARE	04.01.2023	1000.00
Erstwhile BOBHL Bonds	2002	20	Taken over in 2006 due to merger of BOBHL with the Bank - 8.30%		06.09.2009	20.00
IPDI (I)	2009	300.20	Perpetual with Call Option at par on January 30, 2019 and every year thereafter on each anniversary date (subject to prior approval from RBI) Coupon Rate: 8.90% p.a. for the first 10 years and stepped up coupon rate of 9.40% p.a. for subsequent years if Call Option is not exercised by the Bank at the end of 10th Year	AAA/Stable by CRISIL & CARE AAA by CARE	Not Applicable	300.20 (as on date)
IX (UT-II)	2009	1000	180 Months with call option after 10 years - (9.15% up to 10 yrs and 9.65% for next five years, if call option not exercised)	AAA/Stable by CRISIL & CARE AAA by CARE	04.03.2024	1000.00
X (LT-II)	2009	500	109 Months (8.95%)	AAA/Stable by CRISIL & CARE AAA by CARE	12.04.2018	500.00
XI (UT-II)	2009	500	180 Months with call option after 10 years - (8.38% upto 10 years & 8.88% for next 5 years if call option is not exercised.	AAA/Stable by CRISIL & CARE AAA by CARE and BWR AAA+ /stable by Brickworks	06.06.2024	-(Issued on June 8,2009)

LT-II: LOWER TIER-II; UT-II: UPPER TIER-II; IPDI: Innovative Perpetual Debt Instruments



B. Overseas issuance of MTN Notes

The Bank issued Upper Tier-II subordinated bonds to the extent of USD 300 Million with a coupon of 6.6250% Semi-annual at a yield of 6.7300% to investors in May 2007 for a tenor of 15 years including the Call option at the end of 10 years (Maturity Date: 25th May 2022; Call option date: 25th May 2017). If the call option is not exercised, there will be a step-up in the coupon by 100 bps.



VII. SUMMARY TERM SHEET

Issuer	Bank of Baroda
Issue Size	Rs. 500 crores
Issue Objects	Augmenting Tier-II Capital for strengthening the Capital Adequacy and enhancing long term resources of the Bank
Instrument	Unsecured Redeemable Non-Convertible Subordinated Upper Tier-II Bonds (Debt Capital Instruments) (Series-XII) in the nature of Promissory Notes ("Bonds")
Seniority of Claim	The claims of the investors in these Bonds shall be (a) superior to the claims of investors in instruments eligible for inclusion in Tier I capital; and (b) subordinate to the claims of all other creditors
Issuance/ Trading	In Dematerialized Form
Credit Rating	'AAA/Stable' by CRISIL, 'CARE AAA' by CARE and 'BWR AAA+ (Outlook:Stable)' by BRICKWORK
Security	Unsecured
Face Value	Rs. 10,00,000/- per Bond
Issue Price	At par (Rs. 10,00,000/- per Bond)
Redemption Price	At par (Rs. 10,00,000/- per Bond)
Minimum Subscription	1 Bond and in multiples of 1 Bond thereafter
Tenure	15 Years
Put Option	None
Call Option	None
Redemption/ Maturity	At par at the end of 15th Year from the Deemed Date of Allotment (subject to prior approval from RBI)
Redemption Date	July 08, 2024 (subject to prior approval from RBI)
Coupon Rate	8.54% p.a. for 15 years
Interest Payment	Annual (subject to RBI norms)
Interest Payment Date	On July 08, every year (subject to RBI norms)
Lock-in-clause	These Bonds shall be subjected to a lock-in clause in terms of which, the Bank shall not be liable to pay either interest or principal, even at maturity, if (i) the Bank's CRAR is below the minimum regulatory requirement prescribed by RBI; or (ii) the impact of such payment results in bank's capital to risk assets ratio (CRAR) falling below or remaining below the minimum regulatory requirement prescribed by Reserve Bank of India. However, the Bank may pay interest with the prior approval of RBI when the impact of such payment may result in net loss or increase the net loss provided CRAR remains above the regulatory norm. The interest amount due and remaining unpaid may be allowed to be paid in the later years subject to the Bank complying with the above regulatory requirement.
Listing	Proposed on the Wholesale Debt Market (WDM) Segment of the National Stock Exchange of India Ltd. (NSE) and Bombay Stock Exchange Ltd. (BSE)
Trustee	IDBI Trusteeship Services Ltd.
Depository	National Securities Depository Ltd. and Central Depository Services (India) Ltd.
Registrars	Karvy Computershare (P) Ltd.
Interest on Application Money *	At the coupon rate applicable for 15 years (i.e. @ 8.54% p.a.) from the date of realization of cheque(s)/ demand draft(s)/ RTGS upto but excluding the Deemed Date of Allotment.
Settlement	Payment of interest and repayment of principal shall be made by way of cheque(s)/ interest/ redemption warrant(s)/ demand draft(s)/ credit through RTGS/ ECS system
Mode of Subscription	Cheque(s)/ demand draft(s) may be drawn in favour of "Bank of Baroda A/c Upper Tier II Bond Issue Series XII" and crossed "Account Payee Only" payable at par at designated centers mentioned elsewhere in the Disclosure Document or by way of electronic transfer of funds through RTGS mechanism as per following details: Name of the Bank Bank of Baroda Address of the Bank Mumbai Main Office, P.B.No.347, 10/12, Mumbai Sanechar Marg, Fort, Mumbai RTGS Code BARB0F0RTAP Name of the Beneficiary Bank of Baroda Account Number 03810200001106 Narration Subscription towards Bank of Baroda A/c Upper Tier-II Bond Issue Series XII
Issue Opens on ^	July 08, 2009
Issue Closes on ^	July 08, 2009
Pay-In Date ^	July 08, 2009
Deemed Date of Allotment ^	July 08, 2009



* subject to deduction of tax at source, as applicable.

^ The Bank reserves its sole and absolute right to modify (pre-poner/ postpone) the issue opening/ closing/ pay-in date(s) without giving any reasons or prior notice. In such a case, investors shall be intimated about the revised time schedule by the Bank. The Bank also reserves the right to keep multiple Deemed Date(s) of Allotment at its sole and absolute discretion without any notice.



VIII. TERMS OF OFFER (DETAILS OF DEBT SECURITIES PROPOSED TO BE ISSUED, MODE OF ISSUANCE, ISSUE SIZE, UTILIZATION OF ISSUE PROCEEDS, STOCK EXCHANGES WHERE SECURITIES ARE PROPOSED TO BE LISTED, REDEMPTION AMOUNT, PERIOD OF MATURITY, YIELD ON REDEMPTION, DISCOUNT AT WHICH OFFER IS MADE AND EFFECTIVE YIELD FOR INVESTOR)

PRIVATE PLACEMENT OF UNSECURED REDEEMABLE NON-CONVERTIBLE SUBORDINATED UPPER TIER-II BONDS (DEBT CAPITAL INSTRUMENTS) (SERIES-XII) IN THE NATURE OF PROMISSORY NOTES OF RS. 10 LAKEH EACH FOR CASH AT PAR AGGREGATING RS. 500 CRORES TO BE ISSUED BY BANK OF BARODA

Issue Size

Bank of Baroda (the 'Issuer' or the 'Bank') proposes to raise Rs. 500 crores through issue of Unsecured Redeemable Non-Convertible Subordinated Upper Tier-II Bonds (Debt Capital Instruments) (Series-XII) in the nature of Promissory Notes (hereinafter referred to as 'Bonds') of face value of Rs. 10,00,000/- each by way of private placement ('the Issue').

Governing Law & Provisions

The Bonds offered are subject to provisions of the Companies Act, 1956, Securities Contract Regulation Act, 1956, Banking Companies (Acquisition and Transfer of Undertakings) Act, 1970, terms of this Disclosure Document, Instructions contained in the Application Form and other terms and conditions as may be incorporated in the Trustee Agreement and Bond Trust Deed. Over and above such terms and conditions, the Bonds shall also be subject to the applicable provisions of the Depositories Act 1996 and the laws as applicable, guidelines, notifications and regulations relating to the allotment & issue of capital and listing of securities issued from time to time by the Government of India (GoI), Reserve Bank of India (RBI), Securities & Exchange Board of India (SEBI), concerned Stock Exchange or any other authorities and other documents that may be executed in respect of the Bonds. Any disputes arising out of this issue will be subject to the exclusive jurisdiction of the district courts of city of Mumbai.

Authority for the Placement

The present private placement of Unsecured Redeemable Non-Convertible Subordinated Upper Tier-II Bonds (Debt Capital Instruments) (Series-XII) in the nature of Promissory Notes is being made in accordance with extant RBI guidelines vide its circular no. DBOD.No.BP.BC.11/21.06.001/ 2006-09 dated July 01, 2008 on Prudential Guidelines on Capital Adequacy and Market Discipline - Implementation of the New Capital Adequacy Framework covering terms and conditions for issue of Debt Capital Instruments for inclusion as Upper Tier II capital. The private placement of Bonds under the terms of this Disclosure Document is being made pursuant to the approval given by the Board of Directors of the Bank in their meeting held on November 14, 2008. The debt to be raised is within the overall borrowing powers of the Bank. This being a private placement of debt securities, the eligibility norms of SEBI (DIP) Guidelines, 2000 shall not be applicable. Further the Bank, its promoter, its associates and companies with which the directors of the Bank are associated as directors or promoters are not prohibited from accessing the capital market/ debt securities market under any order or directions passed by SEBI. The Bank can undertake the proposed issue of bonds in view of the present approvals and no further approval from any government authority(ies)/ Reserve Bank of India (RBI) is required by the Bank in this connection.

Objects of the Issue

The proposed issue of Bonds is being made for augmenting Tier II Capital of the Bank for strengthening its Capital Adequacy and for enhancing the long-term resources of the Bank. The expenses of the issue shall be borne by the Bank.

Utilisation of Issue Proceeds

The funds raised through this private placement are not meant for any specific project as such and therefore the proceeds of this Issue shall be utilized for the regular business activities of the Bank. The Bank has to shore up its capital base to match the growth in assets and maintain level of CAR higher than the minimum level prescribed by RBI. The requirement of capital has increased on account of phased convergence to Basel II norms by Reserve Bank of India and growth in credit. The Bank is managed by professionals under the supervision of its Board of Directors. Further, the Bank is subject to a number of regulatory checks and balances as stipulated in its regulatory environment. Therefore, the management shall ensure that the funds raised via this private placement shall be utilized only towards satisfactory fulfillment of the Objects of the Issue.

Minimum Subscription

As the current issue of Bonds is being made on private placement basis, the requirement of minimum subscription shall not be applicable and therefore the Bank shall not be liable to refund the issue subscription(s)/ proceed(s) in the event of the total issue collection falling short of issue size or certain percentage of issue size.



Underwriting

The present issue of Bonds on private placement basis has not been underwritten.

Nature and Status of Bonds

The Bonds are to be issued in the form of Unsecured Redeemable Non-Convertible Subordinated Upper Tier-II Bonds (Debt Capital Instruments) (Series-XII) in the nature of Promissory Notes for inclusion as Upper Tier II capital. As per RBI master circular no. DBOD.No.SP.BC.11/21.06.001/ 2006-09 dated July 01, 2008 on Prudential Guidelines on Capital Adequacy and Market Discipline - Implementation of the New Capital Adequacy Framework covering terms and conditions for issue of Debt Capital Instruments for inclusion as Upper Tier II capital, these Bonds shall be fully paid-up, unsecured, and free of any restrictive clauses. The claims of the investors in these Bonds shall be (a) superior to the claims of investors in instruments eligible for inclusion in Tier-I capital and (b) subordinate to the claims of all other creditors.

Face Value, Issue Price, Effective Yield for Investor

Each Bond has a face value of Rs. 10,00,000/- and is issued as well as redeemable at par i.e. for Rs. 10,00,000/-. Since there is no premium or discount on issue price or redemption price of the Bonds, the effective yield for the investors shall be the same as the coupon rate on the Bonds (i.e. 8.54% p.a. for 15 years.)

Terms of Payment

The full face value of the Bonds applied for is to be paid along with the Application Form. Investor(s) need to send in the Application Form and the cheque(s)/ demand draft(s)/ RTGS for the full face value of the Bonds applied for.

Face Value per Bond	Minimum Application for	Amount Payable on Application per Bond
Rs. 10,00,000/-	1 Bond and in multiples of 1 Bond thereafter	Rs. 10,00,000/-

Deemed Date of Allotment

Interest on Bonds shall accrue to the Bondholder(s) from and including July 08, 2009, which shall be the Deemed Date of Allotment. All benefits relating to the Bonds will be available to the investors from the Deemed Date of Allotment. The actual allotment of Bonds may take place on a date other than the Deemed Date of Allotment. The Bank reserves the right to keep multiple allotment date(s)/ deemed date(s) of allotment at its sole and absolute discretion without any notice. In case if the issue closing date is changed (pre-poned/ postponed), the Deemed Date of Allotment may also be changed (pre-poned/ postponed) by the Bank at its sole and absolute discretion.

Issue of Bond Certificate(s)

The beneficiary account of the investor(s) with National Securities Depository Ltd. (NSDL)/ Central Depository Services (India) Ltd. (CDSL)/ Depository Participant will be given credit within two working days from the Deemed Date of Allotment. Such credit in the account will be akin to Bond Certificate. The Bonds since issued in electronic (dematerialized) form, will be governed as per the provisions of The Depository Act, 1996, Securities and Exchange Board of India (Depositories and Participants) Regulations, 1996, rules notified by NSDL/ CDSL/ Depository Participant from time to time and other applicable laws and rules notified in respect thereof.

Depository Arrangements

The Bank has appointed "Kavya Computershare Pvt. Ltd." (Address: Plot No. 17-24, Near Image Hospital, Vittalrao Nagar, Madhapur, Hyderabad - 500081; Tel: (040) 23420815-20; Fax: 91-40-23420814; E-mail: mailmanager@kavya.com) as Registrars & Transfer Agent for the present Bond issue. The Bank has made necessary depository arrangements with National Securities Depository Ltd. ("NSDL") and Central Depository Services (India) Ltd. ("CDSL") for issue and holding of Bonds in dematerialized form. In this context the Bank has signed two tripartite agreements as under:

1. Tripartite Agreement dated 29.03.1997 between the Bank, NSDL and Kavya Computershare (P) Ltd. for issue of Bonds in dematerialized form.
2. Tripartite Agreement dated 01.01.2000 between the Bank, CDSL and Kavya Computershare (P) Ltd. for issue of Bonds in dematerialized form.

Investors can hold the bonds only in dematerialized form and deal with the same as per the provisions of Depositories Act, 1996 as amended from time to time.

Procedure for applying for Demat Facility

- The applicant must have at least one beneficiary account with any of the Depository Participants (DPs) of NSDL or CDSL prior to making the application.
- The applicant must necessarily fill in the details (including the beneficiary account number and Depository Participant's ID) appearing in the Application Form under the heading 'Details for Issue of Bonds in Electronic/ Dematerialized Form'.
- Bonds allotted to an applicant will be credited directly to the applicant's respective Beneficiary Account(s) with the DP.
- For subscribing the bonds, names in the application form should be identical to those appearing in the account details in the depository. In case of joint holders, the names should necessarily be in the same



sequence as they appear in the account details in the depository.

- The Registrars to the Issue will directly send non-transferable allotment advice/refund orders to the applicant.
- If incomplete/ incorrect details are given under the heading 'Details for Issue of Bonds in Electronic/ Dematerialised Form' in the application form, it will be deemed to be an incomplete application and the same may be held liable for rejection at the sole discretion of the Bank.
- For allotment of Bonds, the address, nomination details and other details of the applicant as registered with his/her DP shall be used for all correspondence with the applicant. The Applicant is therefore responsible for the correctness of his/her demographic details given in the application form vis-à-vis those with his/her DP. In case the information is incorrect or insufficient, the Issuer would not be liable for losses, if any.
- It may be noted that Bonds being issued in electronic form, the same can be traded only on the Stock Exchanges having electronic connectivity with NSDL or CDSL. NSE and BSE where the Bonds of the Bank are proposed to be listed has connectivity with NSDL and CDSL.
- Interest or other benefits would be paid to those Bondholders whose names appear on the list of beneficial owners given by the Depositories to the Bank as on Record Date/ Book Closure Date. In case of those Bonds for which the beneficial owner is not identified by the Depository as on the Record Date/ Book Closure Date, the Bank would keep in abeyance the payment of interest or other benefits, till such time that the beneficial owner is identified by the Depository and conveyed to the Bank, whereupon the interest or benefits will be paid to the beneficiaries, as identified, within a period of 30 days.

Investors may note that pursuant to current provisions, the Bonds of the Bank would be issued and traded only in dematerialised form.

Market Lot

The market lot will be one Bond ("Market Lot"). Since the Bonds are being issued only in dematerialised form, the odd lots will not arise either at the time of issuance or at the time of transfer of Bonds.

Trading of Bonds

The marketable lot for the purpose of trading of Bonds shall be Rs.10 lakhs. Trading of Bonds would be permitted in demat mode only in standard denomination of Rs.10 lakhs and such trades shall be cleared and settled in recognised stock exchange(s) subject to conditions specified by SEBI. In case of trading in Bonds which has been made over the counter, the trades shall be executed and reported on a recognized stock exchange having a nation wide trading terminal or such other platform as may be specified by SEBI.

Mode of Transfer of Bonds

Bonds shall be transferred subject to and in accordance with the rules/ procedures as prescribed by the NSDL/ CDSL/ Depository Participant of the transferor/ transferee and any other applicable laws and rules notified in respect thereof. The normal procedure followed for transfer of securities held in dematerialized form shall be followed for transfer of these Bonds held in electronic form. The seller should give delivery instructions containing details of the buyer's DP account to his depository participant.

Transfer of Bonds to and from NRIs/ OCBs, in case they seek to hold the Bonds and are eligible to do so, will be governed by the then prevailing guidelines of RBI. The transferee(s) should ensure that the transfer formalities are completed prior to the Record Date. In the absence of the same, interest will be paid/ redemption will be made to the person, whose name appears in the records of the Depository. In such cases, claims, if any, by the transferee(s) would need to be settled with the transferor(s) and not with the Bank.

Interest on Application Money

Interest at the coupon rate applicable for 15 years (i.e. at the rate of 8.54 per cent per annum) (subject to deduction of income tax under the provisions of the Income Tax Act, 1961, or any other statutory modification or re-enactment thereof, as applicable) will be paid to all the applicants on the application money for the Bonds. Such interest shall be paid from the date of realisation of cheque(s)/ demand draft(s)/ RTGS upto one day prior to the Deemed Date of Allotment. The interest on application money will be computed on an Actual/ 365 day basis. Such interest would be paid on all the valid applications, including the refunds. Where the entire subscription amount has been refunded, the interest on application money will be paid alongwith the Refund Orders. Where an applicant is allotted lesser number of bonds than applied for, the excess amount paid on application will be refunded to the applicant alongwith the interest on refunded money. The interest cheque(s)/ demand draft(s) for interest on application money (alongwith Refund Orders, in case of refund of application money, if any) shall be dispatched by the Bank alongwith the Refund Order(s), as the case may be, by registered post to the sole/ first applicant, at the sole risk of the applicant.

Interest on the Bonds

The Bonds shall carry interest at the rate of 8.54 per cent per annum (subject to deduction of tax at source at the rates prevailing from time to time under the provisions of the Income Tax Act, 1961, or any other statutory modification or re-enactment thereof for which a certificate will be issued by the Bank) from, and including, July 08, 2009 upto, but excluding, July 08, 2024, payable annually in arrears on July 08, in each year (each, an "Interest Payment Date"), commencing July 08, 2010, to the holders of Bonds (the "Holders" and each, a "Holder") as of the relevant Record Date.

The first interest period is defined as the actual number of days falling between the Deemed Date of Allotment



to July 08, 2010 including the first date but excluding the last date. The first interest payment would be made on July 08, 2010. The second and subsequent interest period is defined as the actual number of days in a year as 365 (366 in case of a leap year) between July 08, and July 08, including the first date but excluding the last date and so on. The last interest period is defined as the actual number of days falling between July 08, and redemption date, including the first date but excluding the last date. The last interest payment would be made on redemption date, along with the redemption of principal amount.

In terms of RBI master circular no. DBOD.No.BP.BC.11/21.06.001/ 2008-09 dated July 01, 2008 on Prudential Guidelines on Capital Adequacy and Market Discipline - Implementation of the New Capital Adequacy Framework covering terms and conditions for issue of Debt Capital Instruments for inclusion as Upper Tier II capital, these Bonds shall be subjected to a lock-in clause in terms of which, the Bank shall not be liable to pay either interest or principal, even at maturity, if (i) the Bank's CRAR is below the minimum regulatory requirement prescribed by RBI; or (ii) the impact of such payment results in Bank's capital to risk assets ratio (CRAR) falling below or remaining below the minimum regulatory requirement prescribed by Reserve Bank of India. However, the Bank may pay interest with the prior approval of RBI when the impact of such payment may result in net loss or increase the net loss provided CRAR remains above the regulatory norm. The interest amount due and remaining unpaid may be allowed to be paid in the later years subject to the Bank complying with the above regulatory requirement.

If any interest payment date falls on a day which is not a Business Day ('Business Day' being a day on which Commercial Banks are open for Business in the city of Mumbai) then payment of interest will be made on the next day that is a business day but without liability for making payment of interest for the intervening period.

In case the Deemed Date of Allotment is revised (pre-poned/ postponed) then the above interest Payment Date may also be revised pre-poned/ postponed) accordingly by the Bank at its sole & absolute discretion.

Computation of Interest

Interest for each of the interest periods shall be calculated, on 'actual/ 365 (366 in case of a leap year) days' basis, on the face value of principal outstanding on the Bonds at the coupon rate rounded off to the nearest Rupee.

Record Date

The 'Record Date' for the Bonds shall be 30 days prior to each interest payment date and/or redemption date.

Deduction of Tax at Source

Tax as applicable under the Income Tax Act, 1961, or any other statutory modification or re-enactment thereof will be deducted at source. The investor(s) desirous of claiming exemption from deduction of income tax at source on the interest on application money are required to submit the necessary certificate(s), in duplicate, along with the Application Form in terms of Income Tax rules.

Interest payable subsequent to the Deemed Date of Allotment of Bonds will be treated as "Interest on Securities" as per Income Tax Rules. Bondholders desirous of claiming exemption from deduction of income tax at source on the interest payable on Bonds should submit tax exemption certificate/ document, under Section 193 of the Income Tax Act, 1961, if any, at the Corporate Office of the Bank, at least 45 days before the payment becoming due.

Regarding deduction of tax at source and the requisite declaration forms to be submitted, prospective investors are advised to consult their own tax consultant(s).

Put Option

There is no Put Option available to the Bondholder(s). As per RBI master circular no. DBOD.No.BP.BC.11/21.06.001/ 2008-09 dated July 01, 2008 on Prudential Guidelines on Capital Adequacy and Market Discipline - Implementation of the New Capital Adequacy Framework covering terms and conditions for issue of Debt Capital Instruments for inclusion as Upper Tier II capital, these Bonds shall be free of any restrictive clauses and shall not be redeemable at the initiative of the holder and shall thus not have any 'Put Option'.

Call Option/ Option for Early Redemption

There is no call option available. In terms of RBI master circular no. DBOD.No.BP.BC.11/21.06.001/ 2008-09 dated July 01, 2008 on Prudential Guidelines on Capital Adequacy and Market Discipline - Implementation of the New Capital Adequacy Framework covering terms and conditions for issue of Debt Capital Instruments for inclusion as Upper Tier II capital, these Bonds may have a Call Option which may be exercised by the Bank only if the Bonds have run for at least 10 Years. Further Call Option shall be exercised by the Bank only with the prior approval of RBI (Department of Banking Operations & Development).

Redemption

The face value of the Bonds will be redeemed at par on July 08, 2024 (at the end of 15 years from the Deemed Date of Allotment). In terms of RBI master circular no. DBOD.No.BP.BC.11/21.06.001/ 2008-09 dated July 01, 2008 on Prudential Guidelines on Capital Adequacy and Market Discipline - Implementation of the New Capital Adequacy Framework covering terms and conditions for issue of Debt Capital Instruments for



inclusion as Upper Tier II capital, these Bonds are free of any restrictive clauses and shall not be redeemable at the initiative of the holder. Redemption of these Bonds shall be made only with the prior approval of the RBI.

Further these Bonds shall be subjected to a lock-in clause in terms of which, the Bank shall not be liable to pay either interest or principal, even at maturity, if (i) the Bank's CRAR is below the minimum regulatory requirement prescribed by RBI; or (ii) the impact of such payment results in Bank's capital to risk assets ratio (CRAR) falling below or remaining below the minimum regulatory requirement prescribed by Reserve Bank of India. However, the Bank may pay interest with the prior approval of RBI when the impact of such payment may result in net loss or increase the net loss provided CRAR remains above the regulatory norm. The interest amount due and remaining unpaid may be allowed to be paid in the later years subject to the Bank complying with the above regulatory requirement.

In case if the principal redemption date falls on a day which is not a Business Day ('Business Day' being a day on which Commercial Banks are open for business in Mumbai), then the payment due shall be made on the next Business Day together with additional interest for the intervening period.

Payment on redemption shall be made by cheque(s)/ redemption warrants(s)/ demand draft(s)/ credit through RTGS system in the name of the Bondholders whose name appear on the List of Beneficial Owners given by Depository to the Bank as on the Record Date/ Book Closure Date. On the Bank dispatching the redemption warrants to such Beneficiary(ies) by registered post/ courier, the liability of the Bank shall stand extinguished.

The Bonds shall be taken as discharged on payment of the redemption amount by the Bank on redemption date to the list of Beneficial Owners as provided by the Depository to the Bank as on the Record Date. Such payment will be a legal discharge of the liability of the Bank towards the Bondholders. On such payment being made, the Bank will inform NSDL/ CDSL/ Depository Participant and accordingly the account of the Bondholders with NSDL/ CDSL/ Depository Participant will be adjusted.

The Bank's liability to the Bondholders towards all their rights including for payment or otherwise shall cease and stand extinguished from the date of redemption in all events. Further the Bank will not be liable to pay any interest or compensation from the date of redemption. On the Bank dispatching the amount as specified above in respect of the Bonds, the liability of the Bank shall stand extinguished.

Lock-In Clause

In terms of RBI master circular no. DBOD.No.BP.BC.11/21.06.001/ 2008-09 dated July 01, 2008 on Prudential Guidelines on Capital Adequacy and Market Discipline - Implementation of the New Capital Adequacy Framework covering terms and conditions for issue of Debt Capital Instruments for inclusion as Upper Tier II capital, these Bonds shall be subjected to a lock-in clause in terms of which, the Bank shall not be liable to pay either interest or principal, even at maturity, if (i) the Bank's CRAR is below the minimum regulatory requirement prescribed by RBI; or (ii) the impact of such payment results in Bank's capital to risk assets ratio (CRAR) falling below or remaining below the minimum regulatory requirement prescribed by Reserve Bank of India. However, the Bank may pay interest with the prior approval of RBI when the impact of such payment may result in net loss or increase the net loss provided CRAR remains above the regulatory norm. The interest amount due and remaining unpaid may be allowed to be paid in the later years subject to the Bank complying with the above regulatory requirement.

Effect of Holidays

Should any of dates defined above or elsewhere in the Disclosure Document, excepting the Deemed Date of Allotment, fall on a Saturday, Sunday or a Public Holiday, the next working day shall be considered as the effective date(s). In case any Interest Payment Date(s) and/ or Redemption Date falls on a holiday, interest/ redemption will be paid on the next working day (i.e. a day on which scheduled commercial banks are open for business in the city of Mumbai).

List of Beneficial Owners

The Bank shall request the Depository to provide a list of Beneficial Owners as at the end of the Record Date. This shall be the list, which shall be considered for payment of interest or repayment of principal amount on maturity.

Succession

In the event of the demise of the sole/first holder of the Bond(s) or the last survivor, in case of joint holders for the time being, the Bank will recognize the executor or administrator of the deceased Bondholder, or the holder of succession certificate or other legal representative as having title to the Bond(s). The Bank shall not be bound to recognize such executor or administrator, unless such executor or administrator obtains probate, wherever it is necessary, or letter of administration or such holder is the holder of succession certificate or other legal representation, as the case may be, from a Court in India having jurisdiction over the matter. The Bank may, in its absolute discretion, where it thinks fit, dispense with production of probate or letter of administration or succession certificate or other legal representation, in order to recognize such holder as being entitled to the Bond(s) standing in the name of the deceased Bondholder on production of sufficient documentary proof or indemnity.

Where a non-resident Indian becomes entitled to the Bond by way of succession, the following steps have to



be complied with:

- a. Documentary evidence to be submitted to the Legacy Cell of the RBI to the effect that the Bond was acquired by the NRI as part of the legacy left by the deceased holder.
 - b. Proof that the NRI is an Indian National or is of Indian origin.
- Such holding by the NRI will be on a non-repatriation basis.

Who Can Apply

The following categories of investors may apply for the Bonds, subject to fulfilling their respective investment norms/ rules by submitting all the relevant documents alongwith the application form.

1. Scheduled Commercial Banks;
2. Financial Institutions;
3. Insurance Companies;
4. Primary/ State/ District/ Central Co-operative Banks (subject to permission from RBI);
5. Regional Rural Banks;
6. Mutual Funds;
7. Provident, Gratuity, Superannuation and Pension Funds;
8. Companies, Bodies Corporate authorised to invest in Bonds;
9. Trusts, Individuals, Association of Persons, and Societies registered under the applicable laws in India which, are duly authorised to invest in bonds.

Application not to be made by

1. Hindu Undivided Family (neither by the name of the Karta);
2. Partnership Firms or their nominees;
3. Overseas Corporate Bodies (OCBs);
4. Foreign Institutional Investors (FIIs).

Although above investors are eligible to apply however only those investors, who are individually addressed through direct communication by the Bank/ Lead Arrangers, are eligible to apply for the Bonds. No other person may apply. Hosting of Disclosure Document on the website of NSE or BSE should not be construed as an offer to issue and the same has been hosted only as it is stipulated by SEBI. Investors should check about their eligibility before making any investment.

The applications must be accompanied by certified true copies of (1) Memorandum and Articles of Association/ Constitution/ Bye-laws (2) Resolution authorising investment and containing operating instructions (3) Specimen signatures of authorised signatories, (4) Copy of Permanent Account Number Card ("PAN Card") issued by the Income Tax Department and (5) Necessary forms for claiming exemption from deduction of tax at source on the interest income/ interest on application money, wherever applicable.

Application under Power of Attorney or by Limited Companies

In case of applications made under a Power of Attorney or by a Limited Company or a Body Corporate or Registered Society or Mutual Fund, and scientific and/or industrial research organisations or Trusts etc, the relevant Power of Attorney or the relevant resolution or authority to make the application, as the case may be, together with the certified true copy thereof along with the certified copy of the Memorandum and Articles of Association and/or Bye-Laws as the case may be must be attached to the Application Form or lodged for scrutiny separately with the photocopy of the Application Form, quoting the serial number of the Application Form and the Bank's branch where the application has been submitted, at the office of Treasury Branch, Bank of Baroda, Corporate Office after submission of the Application Form to the bankers to the issue or any of the designated branches as mentioned on the reverse of the Application Form, failing which the applications are liable to be rejected. Such authority received by the Registrars to the issue more than 10 days after closure of the subscription list may not be considered.

Mode of Subscription/ How to Apply

This being a Private Placement Offer, Investors who are established/ resident in India and who have been addressed through this communication directly, only are eligible to apply. All Application Forms, duly completed, together with cheque/ demand draft for the amount payable on application must be delivered before the closing of the issue to the specified branches of Bank of Baroda named herein or to the Arrangers to the Issue.

Applications should be for a minimum of 1 Bond and in multiples of 1 Bond thereafter. All cheques/ demand drafts should be in favour of "Bank of Baroda A/c Upper Tier II Bond Issue Series XII" and crossed "Account Payee Only" payable at par at designated centers mentioned elsewhere in the Disclosure Document or by way of electronic transfer of funds through RTGS mechanism as per following details:

Name of the Bank	Bank of Baroda
Address of the Bank	Mumbai Main Office, P.B.No.347, 10/12, Mumbai Samachar Marg, Fort, Mumbai
RTGS Code	BARB0F0RTAP
Name of the Beneficiary	Bank of Baroda
Account Number	03810200001106
Narration	Subscription towards Bank of Baroda A/c Upper Tier-II Bond Issue Series XII



Applications for the Bonds must be in the prescribed form (enclosed) and completed in BLOCK LETTERS in English and as per the instructions contained therein.

Applications complete in all respects (along with all necessary documents as detailed in this Disclosure Document) must be submitted before the last date indicated in the issue time table or such extended time as decided by the Bank, at any of the designated collection centres, accompanied by the subscription amount by way of cheque(s)/ demand draft(s) drawn on any bank including a co-operative bank which is situated at and is a member of the Bankers' clearing house located at a place where the application form is submitted. Outstation cheque(s)/ Bank draft(s) drawn on Bank(s) not participating in the clearing process at the designated clearing centres will not be accepted. Money orders/ postal orders will also not be accepted. The Bank assumes no responsibility for any applications/ cheques/ demand drafts lost in mail.

No separate receipt will be issued for the application money. However, the Bank's designated collection branches or Lead Arrangers receiving the duly completed Application Form will acknowledge receipt of the application by stamping and returning to the applicant the Acknowledgment Slip at the bottom of the each Application Form.

As a matter of precaution against possible fraudulent encashment of interest warrants/ cheques due to loss/ misplacement, the applicant should furnish the full particulars of his or her bank account (i.e. Account Number, name of the bank and branch, IFSC Code) at the appropriate place in the Application Form. Interest warrants will then be made out in favour of the bank for credit to his/ her account so specified and dispatched to the investors, who may deposit the same in the said bank.

Right to Accept or Reject Applications

The Bank reserves its full, unqualified and absolute right to accept or reject any application, in part or in full, without assigning any reason thereof. The rejected applicants will be intimated along with the refund warrant, if applicable, to be sent. Interest on application money will be paid from the date of realisation of the cheque(s)/ demand drafts(s) till one day prior to the date of refund. The application forms that are not complete in all respects are liable to be rejected and would not be paid any interest on the application money. Application would be liable to be rejected on one or more technical grounds, including but not restricted to:

- a. Number of bonds applied for is less than the minimum application size;
- b. Applications exceeding the issue size;
- c. Bank account details not given;
- d. Details for issue of bonds in electronic/ dematerialised form not given; PAN/GIR and IT Circle/ Ward/ District not given;
- e. In case of applications under Power of Attorney by limited companies, corporate bodies, trusts, etc. relevant documents not submitted;
- f. In case copy of PAN Card and copy of Memorandum & Article not enclosed.

In the event, if any Bond(s) applied for is/ are not allotted in full, the excess application monies of such Bonds will be refunded, as may be permitted.

PAN/GIR Number

All applicants should mention their Permanent Account Number or the GIR Number allotted under Income Tax Act, 1961 and the Income Tax Circle/ Ward/ District. In case where neither the PAN nor the GIR Number has been allotted, the fact of such a non-allotment should be mentioned in the Application Form in the space provided.

Signatures

Signatures should be made in English or in any of the Indian Languages. Thumb impressions must be attested by an authorized official of a Bank or by a Magistrate/ Notary Public under his/her official seal.

Nomination Facility

As per Section 109 A of the Companies Act, 1956, only individuals applying as sole applicant/Joint Applicant can nominate, in the prescribed manner, a person to whom his Bonds shall vest in the event of his death. Non-individuals including holders of Power of Attorney can not nominate.

Bondholder not a Shareholder

The bondholders will not be entitled to any of the rights and privileges available to the shareholders. If, however, any resolution affecting the rights attached to the Bonds is placed before the members of the Bank, such resolution will first be placed before the bondholders for their consideration.



Modification of Rights

The rights, privileges, terms and conditions attached to the Bonds may be varied, modified or abrogated with the consent, in writing, of those holders of the Bonds who hold at least three fourth of the outstanding amount of the Bonds or with the sanction accorded pursuant to a resolution passed at a meeting of the Bondholders, provided that nothing in such consent or resolution shall be operative against the Bank where such consent or resolution modifies or varies the terms and conditions of the Bonds, if the same are not acceptable to the Bank.

Future Borrowings

The Bank shall be entitled to borrow/ raise loans or avail of financial assistance in whatever form as also issue Bonds/ Debentures/ Notes/ other securities in any manner with ranking as pari-passu basis or otherwise and to change its capital structure, including issue of shares of any class or redemption or reduction of any class of paid up capital, on such terms and conditions as the Bank may think appropriate, without the consent of, or intimation to, the Bondholder(s) or the Trustees in this connection.

Bond Redemption Reserve

The Government of India, Ministry of Company Affairs has vide General Circular No. 9/2002 No.6/3/2001-CL.V dated April 18, 2002 clarified that Banks need not create Debenture Redemption Reserve as specified under section 117C of the Companies Act, 1956.

Notices

All notices required to be given by the Bank or by the Trustees to the Bondholders shall be deemed to have been given if sent by ordinary post/ courier to the original sole/ first allottees of the Bonds and/ or if published in one All India English daily newspaper.

All notices required to be given by the Bondholder(s), including notices referred to under "Payment of Interest" shall be sent by registered post or by hand delivery to the Bank or to such persons at such address as may be notified by the Bank from time to time.

Tax Benefits to the Bondholders of the Bank

The holder(s) of the Bonds are advised to consider in their own case, the tax implications in respect of subscription to the Bonds after consulting their own tax advisor/ counsel.

Disputes & Governing Law

The Bonds are governed by and shall be construed in accordance with the existing laws of India. Any dispute arising thereof will be subject to the jurisdiction of district courts of city of Mumbai.

Compliance Officer

Mr. M. L. Jain
Company Secretary
Bank of Baroda
Baroda Corporate Centre
Investors Services Department
1st Floor, Baroda Corporate Centre
C-26, G-Block, Bandra Kurla Complex
Bandra (E), Mumbai 400 051
Tel: (022) 66985812
Fax: 91-22-26526660
E-mail: companysecretary.bco@bankofbaroda.com

The investors can contact the Compliance Officer in case of any pre-issue / post-issue related problems such as non-credit of letter(s) of allotment/ bond certificate(s) in the demat account, non-receipt of refund order(s), interest warrant(s)/ cheque(s) etc.



LEAD ARRANGER TO THE ISSUE



Kotak Mahindra Bank Ltd
Bakhtawar, 2nd floor,
229, Nariman Point
Mumbai 400 021
Tel: (022) 66596022
Fax: (022) 22885061

OTHER ARRANGERS TO THE ISSUE



A. K. Capital Services Ltd.
30-39, 3rd Floor
Free Press House
215, Nariman Point
Mumbai - 400 021
Tel: (022) 66349300
Fax: 91-22-66360977



BOB Capital Markets Ltd.
Ground & 1st Floor, Meher Chamber
Dr. Sunderlal Bhai Marg
Off R. Kamani Marg, Ballard Estate
Mumbai - 400 001
Tel: (022) 66372301
Fax: 91-22-66372312



IX. CREDIT RATING & RATIONALE THEREOF

CRISIL Ltd. ("CRISIL") has assigned a 'AAA/Stable' (pronounced as Triple A with Stable Outlook) rating for an amount of Rs. 1000 crores to the present Upper Tier-II Bonds to be issued by the Bank vide its letter dated July 01, 2009. This rating indicates highest degree of safety with regard to timely payment of interest and principal on the instrument. A copy of rating letter from CRISIL is enclosed elsewhere in this Disclosure Document.

Credit Analysis & Research Ltd. ("CARE") has assigned a 'CARE AAA' (pronounced as Triple A) rating for an amount of Rs. 1000 crores to the present Upper Tier-II Bonds to be issued by the Bank vide its letter dated July 01, 2009. Instruments with this rating are considered to be of the best credit quality, offering highest safety for timely servicing of debt obligations. Such instruments carry minimal credit risk. A copy of rating letter from CARE is enclosed elsewhere in this Disclosure Document.

Brickwork Ratings India Pvt. Ltd. ("BRICKWORK") has assigned a 'BWR AAA+ (Outlook:Stable)' (pronounced as BWR Triple A plus, Outlook Stable) rating for an amount of Rs. 1000 crores to the present Upper Tier-II Bonds to be issued by the Bank vide its letter dated July 01, 2009. This rating is considered to offer the Best credit quality, in terms of timely servicing of debt obligations. A copy of rating letter from BRICKWORK is enclosed elsewhere in this Disclosure Document.

Other than the credit ratings mentioned hereinabove, the Bank has not sought any other credit rating from any other credit rating agency(ies) for the Bonds offered for subscription under the terms of this Disclosure Document.

The above ratings are not a recommendation to buy, sell or hold securities and investors should take their own decision. The ratings may be subject to revision or withdrawal at any time by the assigning rating agencies and each rating should be evaluated independently of any other rating. The ratings obtained are subject to revision at any point of time in the future. The rating agencies have the right to suspend, withdraw the rating at any time on the basis of new information etc.

X. NAME OF DEBENTURE TRUSTEE

In accordance with the provisions of Securities and Exchange Board of India (Issue and Listing of Debt Securities) Regulations, 2008 issued vide Circular No. LAD-NRO/GN/2008/13/127878 dated June 06, 2008, the Bank has appointed IDBI Trusteeship Services Ltd. to act as Trustees ("Trustees") for and on behalf of the holder(s) of the Bonds. The address and contact details of the Trustees are as under:

IDBI Trusteeship Services Ltd.
Registered Office
Asian Building, Ground Floor
17, R Kamani Marg, Ballard Estate,
Mumbai - 400 001
Tel: (022) 6831 1771-3
Fax: 91-22-68311776
E-mail: its@idbitrustee.co.in

A copy of letter from IDBI Trusteeship Services Ltd. conveying their consent to act as Trustee for the current issue of Bonds is enclosed elsewhere in this Disclosure Document.

The Bank hereby undertakes that it shall sign a Trustee Agreement as per applicable provisions. The Trustee Agreement shall not contain any clause which has the effect of (i) limiting or extinguishing the obligations and liabilities of the Trustees or the Bank in relation to any rights or interests of the holder(s) of the Bonds, (ii) limiting or restricting or waiving the provisions of the Securities and Exchange Board of India Act, 1992 (15 of 1992); Securities and Exchange Board of India (Issue and Listing of Debt Securities) Regulations, 2008 and circulars or guidelines issued by SEBI, (iii) indemnifying the Trustees or the Bank for loss or damage caused by their act of negligence or commission or omission.

The Bondholder(s) shall, without further act or deed, be deemed to have irrevocably given their consent to the Trustees or any of their agents or authorized officials to do all such acts, deeds, matters and things in respect of or relating to the Bonds as the Trustees may in their absolute discretion deem necessary or require to be done in the interest of the holder(s) of the Bonds. Any payment made by the Bank to the Trustees on behalf of the Bondholder(s) shall discharge the Bank pro tanto to the Bondholder(s). The Trustees shall protect the interest of the Bondholders in the event of default by the Bank in regard to timely payment of interest and repayment of principal and shall take necessary action at the cost of the Bank. No Bondholder shall be entitled to proceed directly against the Bank unless the Trustees, having become so bound to proceed, fail to do so. In the event of Bank defaulting in payment of interest on Bonds or redemption thereof, any distribution of dividend by the Bank shall require approval of the Trustees.



XI. STOCK EXCHANGES WHERE SECURITIES ARE PROPOSED TO BE LISTED

The Unsecured Redeemable Non-Convertible Subordinated Upper Tier-II Bonds (Series-XII) in the nature of Promissory Notes are proposed to be listed on the Wholesale Debt Market (WDM) Segment of the National Stock Exchange of India Ltd. ("NSE") and Bombay Stock Exchange Ltd. (BSE). The Bank has applied for in-principle approval from NSE and BSE for listing of said Bonds on their Wholesale Debt Market (WDM) Segment. The Bank shall make applications to NSE and BSE to list the Bonds to be issued and allotted under this Disclosure Document and complete all the formalities relating to listing of the Bonds within reasonable time. In connection with listing of Bonds with NSE and BSE, the Bank hereby undertakes that:

- (a) It shall comply with conditions of listing of Bonds as may be specified in the Listing Agreement with NSE and BSE.
- (b) Ratings obtained by the Bank shall be periodically reviewed by the credit rating agencies and any revision in the rating shall be promptly disclosed by the Bank to NSE and BSE.
- (c) Any change in rating shall be promptly disseminated to the holder(s) of the Bonds in such manner as NSE and BSE may determine from time to time.
- (d) The Bank, the Trustees, NSE and BSE shall disseminate all information and reports on Bonds including compliance reports filed by the Bank and the Trustees regarding the Bonds to the holder(s) of Bonds and the general public by placing them on their websites.



XII. DETAILS OF OTHER BORROWINGS (DETAILS DEBT SECURITIES ISSUED IN THE PAST, PARTICULARS OF DEBT SECURITIES ISSUED FOR CONSIDERATION OTHER THAN CASH OR AT A PREMIUM OR DISCOUNT OR IN PURSUANCE OF AN OPTION, HIGHEST TEN HOLDERS OF EACH CLASS OR KIND OF SECURITIES, DEBT EQUITY RATIO)

1. Borrowings Other than Overseas Medium Term Notes

The Bank has raised Capital by way of private placement of bonds to augment capital adequacy as under:
(Rs. in crores)

Bonds - Series	Year of Issue	Size (Rs in Crores)	Tenor (in months)/ Coupon in % p.a.	Rating	Redemption due on	Outstanding amount as on 31.03.2009
I (LT-II)	1996	500	84 Months (Rate 16% Fixed & Float Rate -14.50% Floor & 17.50% cap)	LAAA By ICRA	18.03.2001 Under Call Option	Nil (Redeemed by exercising call Option)
II (LT-II)	1999	600 Options I - 247.70 II - 52.30 III - 300	Opt. I - 85 Months - (Rate 13.75% Fixed), Opt. II - 85 Months (Rate Floor 12.75% & Cap 14.75%) Opt. III - 121 Months (Rate 14.30% fixed)	LAAA By ICRA	9.04.2006 9.04.2006 9.04.2009	Nil (All Options redeemed)
III (LT-II)	2001	800 Options I - 408.10 II - 190.90	Opt. - I - 85 Months (Rate 11.15%) Opt. II - 63 Months (Rate 10.85%)	LAAA By ICRA & AAA By CRISIL	30.04.2006 30.06.2006	Nil (Redeemed)
IV (LT-II)	2004	300	126 Months (8.85%)	LAAABY ICRA AAA (ind) BY FITCH	02.07.2014	300.00
V (LT-II)	2005	770	115 Months (7.45%)	LAAA BY ICRA & AAA (ind) by Fitch	28.04.2015	770.00
VI (LT-II)	2006	920	116 Months (8.95%)	AAA/Stable by CRISIL & LAAA by ICRA	15.06.2016	920.00
VII (UT-II)	2007	500	180 Months with call option after 10 years - (9.30% up to 10 yrs and 9.80% for next five years, if call option not exercised)	AAA/Stable by CRISIL & CARE AAA by CARE	28.12.2022	500.00
VIII (UT-II)	2008	1000	180 Months with call option after 10 years - (9.30% up to 10 yrs and 9.80% for next five years, if call option not exercised)	AAA/Stable by CRISIL & CARE AAA by CARE	04.01.2023	1000.00
Erstwhile BOBHL Bonds	2002	20	Taken over in 2006 due to merger of BOBHL with the Bank - 8.30%		06.09.2009	20.00
IPDI (I)	2009	300.20	Perpetual with Call Option at par on January 30, 2019 and every year thereafter on each anniversary date (subject to prior approval from RBI) Coupon Rate: 8.90% p.a. for the first 10 years and stepped up coupon rate of 9.40% p.a. for subsequent years if Call Option is not exercised by the Bank at the end of 10th Year	AAA/Stable by CRISIL & CARE AAA by CARE	Not Applicable	300.20
IX (UT-II)	2009	1000	180 Months with call option after 10 years - (9.15% up to 10 yrs and 9.65% for next five years, if call option not exercised)	AAA/Stable by CRISIL & CARE AAA by CARE	04.03.2024	1000.00
X (LT-II)	2009	500	100 Months (8.95%)	AAA/Stable by CRISIL & CARE AAA by CARE	12.04.2018	500.00



XI (UT-II)	2009	500	180 Months with call option after 10 years – (8.38% upto 10 years & 8.88% for next 5 years if call option is not exercised.	AAA/Stable by CRISIL & CARE AAA by CARE and S&P AAA+ /stable by Brickworks	08.08.2024	– (Issued on June 8, 2009)
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LT-II: LOWER TIER-II; UT-II: UPPER TIER-II; IPDI: Innovative Perpetual Debt Instruments.

2. Borrowings through Overseas issuance of MTN Notes

The Bank issued Upper Tier-II subordinated bonds to the extent of USD 300 Million with a coupon of 6.6250% Semi-annual at a yield of 6.7380% to investors in May 2007 for a tenor of 15 years including the Call option at the end of 10 years (Maturity Date: 25th May 2022; Call option date: 25th May 2017). If the call option is not exercised, there will be a step-up in the coupon by 100 bps.

3. DEBT EQUITY RATIO

(Rs. in crores)

Particulars	Pre-Issue (as on March 31, 2009)	After Redemption of Rs.300 crs (Series II, option III) and Post Issue of Upper Tier-II Bonds of Rs. 1000 crores (series XI & XII) *
LOAN FUNDS		
Subordinated Bonds	7131.82	7831.82
Other Long Term Borrowings	656.09	656.09
TOTAL	12767.91	13487.91
SHAREHOLDERS' FUNDS		
Equity Share Capital		365.53
Reserves & Surplus (excluding Revelation Reserve)	11801.66	11801.66
TOTAL	11801.66	11801.66
DEBT/ EQUITY RATIO		
Long Term Debt/ Equity Ratio	1.12	1.18

* after adjusting (i) proposed Upper Tier-II Bonds of Rs. 500 crores and (ii) Redemption of Rs. 300 crs (Series II, Option III) on 08.04.2009 to the figures of March 31, 2009.

4. HIGHEST 10 HOLDERS OF EACH CLASS AND KIND OF SECURITIES

A. TOP 10 EQUITY SHAREHOLDERS

(as on March 31, 2009)

Sr. No.	Name of Shareholder	% Shareholding
1.	President of India	53.81
2.	Life Insurance Corporation of India	8.72
3.	Genesis Indian Investment Company Ltd - General Sub Fund	3.42
4.	Aberdeen Asset Managers Ltd. a/c Aberdeen	1.80
5.	HDFC Trustee Company Ltd. - HDFC Equity Fund	1.24
6.	FID Funds (Mauritius) Ltd.	1.19
7.	Reliance Capital Trustee Co Ltd - Reliance Longterm Equity Fund	0.91
8.	Reliance Capital Trustee Company Ltd a/c Reliance Growth Fund	0.78
9.	Reliance Life Insurance Company Ltd.	0.84
10.	HDFC Trustee Company Ltd. - HDFC Top 200 Fund	0.62
TOTAL		73.13

B. TOP 10 BONDHOLDERS - SERIES - IV

(as on June 26, 2009)

Sr. No.	Name of Bondholder	Address	No. of Bonds Held	% holding
1.	Coal Mines Provident Fund	C/O ICICI Securities Primary Dealership Ltd., ICICI Centre, H. T. Parekh Marg Churchgate Mumbai - 400020	3000	100.00
Total			3000	100.00



C. TOP 10 BONDHOLDERS - SERIES - V

(as on June 26, 2009)

Sr. No.	Name of Bondholder	Address	No. of Bonds Held	% holding
1.	CST EPF EPS A/C HSBC AMC Ltd	HDFC Bank Ltd Custody Services Trade World A Wing Gr. Floor Kamala Mills Compound S B marg Lower parcel, Mumbai - 400013	657	8.53
2.	Army Group Insurance Fund	AGI Bhawan, RAO Tula Ram Marg PB 14, P.O. Vasant Vihar New Delhi - 110057	500	6.49
3.	Coal Mines Pension Fund	State Bank of India, Securities Services Branch, Main Branch Bldg, 2nd Floor, Fort Mumbai - 400001	500	6.49
4.	Punjab National Bank Employees Pension Fund	Punjab National Bank Third Floor, Rajendra Bhawan Rajendra Place New Delhi - 110008	380	4.94
5.	Bank of Baroda Provident Fund Trust	Baroda House 4th Floor, Mandvi Baroda - 390006	350	4.55
6.	Bank of Baroda Gratuity Fund	Baroda House First Floor, Mandvi Baroda - 390006	200	2.60
7.	Canara Bank-Mumbai	P-I Sec Branch - (Debt), 1st Floor, Verma Chambers Homji Street, Fort Mumbai - 400001	200	2.60
8.	Trustees Central Bank of India Employees Provident Fund	Provident Fund Department, NCL Building, 4th Floor, Bandra Kurla Complex, Bandra (East), Mumbai - 400051	200	2.60
9.	The New India Assurance Company Employees Pension Fund	New India Assurance Bldg Basement 87 M G Road Fort, Mumbai - 400001	160	2.08
10.	CST EPF EPS A/C Reliance Capital AMC Ltd.	HDFC Bank Ltd Custody Services Trade World A Wing Gr Floor Kamala Mills Compound S B Marg Lower Parcel, Mumbai - 400013	150	1.95
TOTAL			3297	42.79

D. TOP 10 BONDHOLDERS - SERIES - VI

(as on June 26, 2009)

Sr. No.	Name of Bondholder	Address	No. of Bonds Held	% holding
1.	Life Insurance Corporation of India	Investment Department 6TH Floor, West Wing, Central Office Yogeshwari, Jeevan Bima Marg Mumbai - 400021	7500	82.00
2.	Allahabad Bank	Allahabad Bank Treasury Branch Allahabad Bank Building, 3rd Floor 37 Mumbai Samachar Marg Fort, Mumbai - 400023	400	4.30
3.	Bank of Baroda (Employees) Pension Fund	Baroda House First Floor, Mandvi Baroda - 390006	350	3.80
4.	Army Group Insurance Fund	AGI Bhawan, RAO Tula Ram Marg PB 14, P.O. Vasant Vihar New Delhi - 110057	200	2.20
5.	National Thermal Power Corporation Limited Employees Provident Fund Trust	NTPC Bhawan Scope Complex New Delhi - 110003	176	1.90
6.	Bank of Baroda Provident Fund Trust	Baroda House 4th Floor, Mandvi Baroda - 390006	150	1.60
7.	Allahabad Bank Staff Provident Fund	2, Netaji Subhas Road Kolkata - 700001	100	1.10



8.	Allahabad Bank (Employees') Pension Fund	2, Netaji Subhas Road Kolkata - 700001	100	1.10
9.	Bajaj Allianz Life Insurance Company Limited	Deutsche Bank AG, DB House, Hazratnagar Somani Marg, Next to Sterling Theatre, P.O Box no 1142, Fort, Mumbai 400001	100	1.10
10.	United India Insurance Company Limited	24, Whites Road Chennai - 600014	50	0.64
Total			9125	98.64

E. TOP 10 BONDHOLDERS - SERIES - VII

(as on June 26, 2009)

Sr. No.	Name of Bondholder	Address	No. of Bonds Held	% holding
1.	CBT EPF EPF A/C Reliance Capital AMC LTD	HDFC Bank Ltd Custody Services Trade World A Wing Gr Floor Kamala Mills Compound S B Marg Lower Parel, Mumbai - 400013	2500	50.00
2.	Sahara India Financial Corporation Ltd	25 26 Atlanta Nariman Point, Mumbai - 400021	999	20.0
3.	Maharashtra State Electricity Boards Contributory Provident Fund	Estrella Batteries Expansion Bldg Plot No 1 Dharavi Road Matunga, Mumbai - 400019	250	5.00
4.	Food Corporation Of India Cpf Trust	Khadya Sadan 13th Floor 16 20 Barakhamba Lane New Delhi - 110001	150	3.00
5.	Visakhapatnam Steel Project Employees Provident Fund Trust	Pay and PF Sections Behind ED (Works) Buildings Visakhapatnam Steel Plant Visakhapatnam - 530031	126	2.50
6.	Punjab National Bank Employees Provident Fund	H/O PF Dept 3rd Floor, Rajendra Bhawan Rajendra Place, New Delhi - 110008	100	2.00
7.	Hindustan Aeronautics Limited Employees Provident Fund Trust	Sunabeda District Koraput Orissa - 763002	90	1.80
8.	NPS Trustees - UTI retirement solutions scheme 1	C/O UTI Retirement Solutions Ltd. UTI Tower, GN Block, Bandra Kurla Complex, Bandra (East) Mumbai - 400051	58	1.20
9.	Bajaj Allianz General Insurance Company Limited	C/O Standard Chartered bank, Custody & Clearing Services, 23-25 M.G road, Fort, Mumbai 400 001	50	1.00
10.	Mahindra and Mahindra Ltd Staff Provident Fund	South Building, Akurdi Road Kandivoli East, Mumbai - 400101	50	1.00
Total			4373	87.5

F. TOP 10 BONDHOLDERS - SERIES - VIII

(as on March 31, 2009)

Sr. No.	Name of Bondholder	Address	No. of Bonds Held	% holding
1.	Life Insurance Corporation Of India	Investment Department 6TH Floor, West Wing, Central Office Yogakshema, Jeevan Bima Marg Mumbai - 400021	9750	97.50
2.	The Life Insurance Corporation of India Provident Fund No 1	3rd floor Finance And Accounts Dept Central Office Yogakshema West Wing Jeevan Bima Marg Nariman Point Mumbai - 400021	250	2.50
Total			10000	100.00



G. TOP 10 BONDHOLDERS – IPDI SERIES - I

(as on June 26, 2009)

Sr. No.	Name of Bondholder	Address	No. of Bonds Held	% holding
1.	Bank of India	Treasury Branch, Head office, Star House, 7 th Floor, C-5 Block, BKC, Bandra (East), Mumbai 400 081	300	10.00
2.	State Bank of India	Securities Services Branch, 2 nd floor, Mumbai Main Branch, Mumbai Samachar Marg, Mumbai 400 021	250	8.3
3.	Canara Bank	F-I Sec Branch (Debt), 1 st floor, Varma Chambers, Hornil Street, Fort, Mumbai 400 001	250	8.3
4.	Union Bank of India	C/o ILFS House, Plot no. 14, Kabeja Vihar, Chandivali, Andheri (East), 400 072	200	6.7
5.	Punjab National bank	HSBC Securities Services, 2 nd floor, Shiv, Plot no 139-140 B, Western Express Highway, Sahara Road Junction, Vile parle, Mumbai 400 057	200	6.7
6.	United bank of India	UBI, Investment Fund Management Dept, Head office, 4 th floor, 16, old court, House Street Kolkata 700 001	200	6.7
7.	UCO Bank	Treasury Branch, UCO Bank Building, Mezzanine floor, 359, Dr. D N Road, Fort, Mumbai 400 001	150	5
8.	Oriental Bank of Commerce	Treasury Department, A30-33, A Block, 1 st floor, Connaught Place, New Delhi 110 001	150	5
9.	Syndicate Bank Employees Pension Fund	Syndicate Bank, Post Box No. 1	100	3
10.	Indian Overseas bank	Treasury, Central Office, 763, Anna Salai, Chennai 600 002	100	3
Total			1900	63.3

H. TOP 10 BONDHOLDERS – SERIES - IX

(as on June 26, 2009)

Sr. No.	Name of Bondholder	Address	No. of Bonds Held	% holding
1.	Life Insurance Corporation of India	Investment Department 6TH Floor, West Wing, Central Office Yogakshema, Jeevan Bima Marg Mumbai - 400021	10000	100.00
Total			10000	100.00

I. TOP 10 BONDHOLDERS – SERIES - X

(as on June 26, 2009)

Sr. No.	Name of Bondholder	Address	No. of Bonds Held	% holding
1.	CBT EPF EPS A/C HSBC AMC LTD	HDFC Bank Limited Custody Services, Trade World A Wing, Gr Floor, Kamala Mills Compound, S B Marg, Lower Panel, Mumbai 400 013	2463	49
2.	CBT EPF EPF A/C RELIANCE CAPITAL AMC LTD	HDFC Bank Limited Custody Services, Trade World A Wing, Gr Floor, Kamala Mills Compound, S B Marg, Lower Panel, Mumbai 400 013	2200	44
3.	Coal Mines Provident Fund	C/o ICICI Securities Primary, Dealership Limited, ICICI Centre, H.T. Park Marg, Churchgate Mumbai 400 020	300	6
4.	CBT EPF EDLI A/C HSBC AMC LTD	HDFC Bank Limited Custody Services, Trade World A Wing, Gr Floor, Kamala Mills Compound, S B Marg, Lower Panel, Mumbai 400 013	37	0.74
Total			5000	99.74

**J. TOP 10 BONDHOLDERS - SERIES - XI**

(as on June 26, 2009)

Sr. No.	Name of Bondholder	Address	No. of Bonds Held	% holding
1.	Life Insurance Corporation of India	Investment Department 8TH Floor, West Wing, Central Office Yogakshema, Jeevan Bima Marg Mumbai - 400021	5000	100.00
Total			5000	100.00

5. PARTICULARS OF DEBT SECURITIES ISSUED (i) FOR CONSIDERATION OTHER THAN CASH, WHETHER IN WHOLE OR PART, (ii) AT A PREMIUM OR DISCOUNT, OR (iii) IN PURSUANCE OF AN OPTION

The Bank hereby confirms that it has not issued any debt securities or agreed to issue any debt securities for consideration other than cash, whether in whole or in part, at a premium or discount or in pursuance of an option since inception.



XIII. SERVICING BEHAVIOR ON EXISTING DEBT SECURITIES AND OTHER BORROWINGS

The Bank hereby confirms that:

- a) The main constituents of Bank's borrowings have been in the form of borrowings from RBI, inter-bank borrowings, call money borrowings, term money borrowings, savings bank deposits, current account deposits, term deposits, subordinated bonds, certificate of deposits etc.
- b) The Bank has been servicing all its principal and interest liabilities on time and there has been no instance of delay or default since inception.
- c) The Bank has neither defaulted in repayment/ redemption of any of its borrowings nor affected any kind of roll over against any of its borrowings in the past.

XIV. UNDERTAKING REGARDING COMMON FORM OF TRANSFER

The Bonds shall be transferred subject to and in accordance with the rules/ procedures as prescribed by the NSDL/ CDSL/ Depository Participant of the transferor/ transferee and any other applicable laws and rules notified in respect thereof. The normal procedure followed for transfer of securities held in dematerialized form shall be followed for transfer of these Bonds held in electronic form. The seller should give delivery instructions containing details of the buyer's DP account to his depository participant. The transferee(s) should ensure that the transfer formalities are completed prior to the Record Date. In the absence of the same, interest will be paid/ redemption will be made to the person, whose name appears in the records of the Depository. In such cases, claims, if any, by the transferee(s) would need to be settled with the transferor(s) and not with the Bank.

The Bank undertakes that it shall use a common form/ procedure for transfer of Bonds issued under terms of this Disclosure Document.

XV. MATERIAL EVENT, DEVELOPMENT OR CHANGE AT THE TIME OF ISSUE

The Bank hereby declares that there has been no material event, development or change at the time of issue which may affect the issue or the investor's decision to invest/ continue to invest in the debt securities of the Bank.

XVI. PERMISSION/ CONSENT FROM PRIOR CREDITORS

The Bank hereby confirms that it is entitled to raise money through current issue of Bonds without the consent/ permission/ approval from the Bondholders/ Trustees/ Lenders/ other creditors of the Bank. Further the Bonds proposed to be issued under the terms of this Disclosure Document being unsecured and subordinated in nature, there is no requirement for obtaining permission/ consent from the prior creditors for creating second or pari passu charge in favor of Trustees.

XVII. MATERIAL CONTRACTS & AGREEMENTS INVOLVING FINANCIAL OBLIGATIONS OF THE ISSUER

By very nature of its business, the Bank is involved in a large number of transactions involving financial obligations and therefore it may not be possible to furnish details of all material contracts and agreements involving financial obligations of the Bank. However, the contracts referred to in Para A below (not being contracts entered into in the ordinary course of the business carried on by the Bank) which are or may be deemed to be material have been entered into by the Bank. Copies of these contracts together with the copies of documents referred to in Para B may be inspected at the Corporate Office of the Bank between 10.00 a.m. and 2.00 p.m. on any working day until the issue closing date.

A. MATERIAL CONTRACTS

- a. Copy of letter appointing Karvy Computershare (P) Ltd. as Registrar and Transfer Agents.
- b. Copy of letter appointing IDBI Trusteeship Services Ltd. as Trustees to the Bondholders.



B. DOCUMENTS

- a. Board Resolution dated November 14, 2008 authorizing the issue of Bonds offered under terms of this Disclosure Document.
- b. Consent from the Trustees to the Bondholders and Registrars to the issue referred to in this Disclosure Document to act in their respective capacities.
- c. Copy of applications made to the NSE and BSE for grant of in-principle approval for listing of Bonds.
- d. Letter from CRISIL conveying the credit rating for the Bonds of the Bank and the rating rationale pertaining thereto.
- e. Letter from CARE conveying the credit rating for the Bonds of the Bank and the rating rationale pertaining thereto.
- f. Letter from BRICKWORK conveying the credit rating for the Bonds of the Bank and the rating rationale pertaining thereto.
- g. Tripartite Agreement dated 29.03.1997 between the Bank, NSDL and Karvy Computershare (P) Ltd. for issue of Bonds in dematerialised form.
- h. Tripartite Agreement dated 01.01.2000 between the Bank, CDSL and Karvy Computershare (P) Ltd. for issue of Bonds in dematerialised form.



XVIII. DECLARATION

It is hereby declared that this Disclosure Document contains full disclosures in accordance with Securities and Exchange Board of India (Issue and Listing of Debt Securities) Regulations, 2008 issued vide Circular No. LAD-NRO/GN/2008/13/127878 dated June 06, 2008.

The Bank also confirms that this Disclosure Document does not omit disclosure of any material fact which may make the statements made therein, in light of the circumstances under which they are made, misleading. The Disclosure Document also does not contain any false or misleading statement.

The Bank accepts no responsibility for the statement made otherwise than in the Disclosure Document or in any other material issued by or at the instance of the Bank and that any one placing reliance on any other source of information would be doing so at his own risk.

Signed by Mr. A. D. M. Chavali, General Manager (Treasury & Resource Management), pursuant to the internal authority granted.

for Bank of Baroda

(A. D. M. Chavali)
General Manager (Treasury & Resource Management)

Date: July 03, 2009
Place: Mumbai (Maharashtra)





DESIGNATED CENTRE OF BANKERS TO THE ISSUE



BANK OF BARODA

(A Government of India Undertaking)

Constituted under the Banking Companies (Acquisition and Transfer of Undertakings) Act, 1970

Head Office: Baroda House, Mandvi, Vadodra 390 005, Gujarat, India

Tel No: (0266) 2518715, 2363001, 2362225; Fax No: (0266) 2362914

Corporate Office: Baroda Corporate Centre, C-28, G Block, Bandra-Kurla Complex, Bandra (E), Mumbai 400 051

Tel No: (022) 66965000-04; Fax No: (022) 26521965

E-mail: companysecretary.bco@bankofbaroda.com

Website: www.bankofbaroda.com

Location	Address of Branch	\$ T	Telephone No.	Fax No.
Mumbai	Mumbai Main Office, 10/ 12, Samaresh Marg.	022	40468110/ 11	22836648

ANNEXURES : ATTACHED SEPERATELY ALONGWITH THIS DISCLOSURE DOCUMENT.